METHOD FOR TRADING WITH THE OVERNIGHT CHART

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The Overnight Chart and the method for operating it is purely mechanical. You use no judgment but simply follow rules and reverse your position when the Overnight Chart indicates it. If you buy and sell and use stop loss orders according to rules, this Method will make a large amount of profits over a long period of time.

The Overnight Chart is taken from the daily high and low chart and the rule for keeping it is as follows:

As long as a stock makes higher bottoms each day, you move the Overnight Chart up, but the first day it makes ½ point or more under a previous day's bottom, you move the Overnight Chart down to this level, but always recording the highest top reached before the Overnight Chart turns. Then as long as the Overnight Chart makes lower bottoms, you continue to move it down. Should it make a higher bottom and a lower top the same day, you would move it up to the top of that day because the Overnight Chart is based on bottoms. When there is a wide swing and the market runs up early in the day and makes a higher top than the previous day and then runs down later in the day and makes a lower bottom, you first move your chart up to the top, or highest point reached during the day, and then bring it down to the lowest level. Then suppose next day it makes a higher bottom, you move it up to the top of that day.

You can use the Resistance Levels in connection with the Overnight Chart, but the only rule that I use in connection with the trading record on U. S. Steel, which will follow, is the half-way point, taking extreme low and extreme high of the last move and dividing it by two to get the gravity center or half-way point. Then buy or sell when this point is reached and protect it with a 1 point stop loss order. The other trading indications are according to the Overnight Chart.

When a stock reaches a new high where you have no Resistance Levels between a previous high and a previous low, you simply follow the Overnight Chart and reverse position when the rule indicates it.

You should watch the daily highs and lows on your daily chart around Permanent Resistance Levels as they will help you to determine a change in the major or minor trend on the Overnight Chart.

RULE I: Buy or sell on double or triple tops or bottoms with a stop-loss order 1 point above the top or 1 point under the bottom. This is the rule that I use. However, many times you will make more money if you use a 3-point stop loss order but by using a 1-point stop loss order most of the time, the stop will not be caught very

often and when it is, it will be time to reverse. The greatest advances and declines usually start from triple tops or bottoms, but remember that these triple tops or bottoms must be several weeks or several months apart to be of great importance. Triple tops or bottoms which are only a limited number of days apart do not mean such big moves as those that occur weeks or months apart.

RULE 2: When a stock reaches the same top or bottom the 4th time, especially if it is several weeks or months apart, it nearly always goes through. Therefore, when you buy or sell the 4th time at a bottom or a top, you must always use a 1-point stop loss order over the top or under the bottom.

RULE 3: When the Overnight Chart makes tops or bottoms on Resistance Levels like the 1/2, 2/3 and 3/4 points, you should buy or sell with a stop loss order 1 or 2 points under these exact Resistance Levels. As a general rule, the stop should be 1 point.

RULE 4: When your stop loss order is caught, it indicates that the Overnight Chart has reversed, so you should reverse position and double up every time it is caught. You will make a great deal more money trading in this way, as will be shown by the trading operations which follow on U. S. Steel. In my trading, the only place where I do not reverse position, that is, double up when the stop loss order is caught, or the trend changes, is where there is no second top or bottom close enough for me to place a stop loss order if I reverse position. As a general rule, I place the stop loss order 1 point above a previous top or 1 point under a previous bottom.

RULE 5: The rule for pyramiding is to sell or buy half as much as your trading unit every 3 to 5 points apart, determining the distance according to the activity of the stock and according to previous Resistance Levels which are broken. Your 3rd trade in a pyramid should be one-half the amount of your 2nd trade, your 4th one-half of the 3rd, and so on. In this way, you take your greatest risk first, then when you make the 2nd, 3rd and 4th trades, you are reducing your trading units, therefore when a stop loss order is caught your loss will be small on the last trade in the pyramid and large on the ones that you bought or sold the most of first. Suppose you are pyramiding a stock when it has declined or advanced 20 or 30 points and has a fast move up or down without making any change on the Overnight Chart. In nearly every case before the trend changes, the Overnight Chart will make a reverse move and allow you to place your stop loss order at least 3 to 5 points away from the bottom or top, but when you have a very large profit and the market has a sharp move one way or the other, and you have a pyramid, you do not want to lose any more of your profits than you can help. In this case, I usually pull my stop loss order down 5 points from the low level each day or, if on the up side, place it up 5 points under the high level, then when the market makes the first reverse move of 5 points, I am out on stops on all of the pyramiding trades.

RULE 6: For very active, fast moving stocks, especially when they are at high levels, you should wait for a change in trend on the

Overnight Chart before reversing position. By a change in the Overnight Chart, I mean wait until it breaks a previous low level, or crosses a previous high level, in case you are operating on the down side

RULE 7: After any big advance or decline, reverse position when Overnight Chart shows a change in trend, that is, double up on changes and go with the trend. The big money is made by going with the trend. That is why every time the trend changes or a stop loss order is caught, we reverse position. If the trend has changed and it is time to sell out longs, it is also time to go short, and vice versa.

For example: In fast moving markets, like the panic of October and November, 1929, when you pyramid on active stocks and make a large amount of money, if you have very large profits, you should follow down with a stop loss order about 10 points away from the market. Then, after a severe decline reduce stop loss order, placing it about 5 points above the low level, because when a market is moving so fast as this, you should not wait for the Overnight Chart to show a change in trend by crossing a previous top before changing position. In fast moving markets you would also watch for the market to stop around important half-way points. For example: U. S. Steel at 150 had reached the half-way point from 38 to 261¾. You would not wait until the Overnight Chart showed a change but when Steel got around 150, you would cover shorts and buy with a stop at 149, or if you use the 3-point rule, place stop at 147. Suppose Steel had broken this 150 level. When your stop loss order was caugat at 149 or 147, whichever was used, you would have gone short.

RULE 8: Watch the daily, weekly, and monthly closing prices. When a stock is active and closes for 3 days, 3 weeks or 3 months around the same price, then the trend changes, it will usually go a considerable distance in the direction in which it starts. However, it is not necessary to depend on this rule at all in connection with the Overnight Chart. I am only giving it to help those who study the daily, weekly and monthly charts.

RULE 9: In very weak or very strong markets watch for the first advance of 3 full points from any low level. By 3 full points I mean, for example, from 100 low, a rally to 103 would be 3 full points. Suppose the low was 99½. We would not count 3 full points until the stock rallied to 103. Reverse this rule for a stock when it is advancing. Suppose it advances to 150 7/8 and has not had a 3 full point reaction for some time. Then if it declined to 147, I would consider it a 3 full point reaction and an indication that the minor trend was reversing. In this case, suppose the stock only declined to 147½ or even to 147¼. We would not count it a full 3 point reaction, because full points are based on even figures.

No matter at what point or at what price you begin trading according to this Method, you must follow the rules and not risk more than 3 points on any one trade, then after that use the Overnight Chart and make your stop loss orders 1 point away from the top or bottom which I always do in my trading example which follows on U. S.

Steel. Then when the stop loss order is caught, buy or sell double the amount, reversing your position. When you cover shorts on a stop loss order, you buy and go with the trend. In the same way when you sell out longs on a stop loss order, you reverse position and go short the same amount which keeps you with the trend.

In my trading, I do not use or take advantage of other rules which I know which might help me at points. I make many trades when I know there is going to be a loss just to demonstrate that the Method will work over a long period of years and make money by reversing position every time and using stop loss orders and, at the same time, following the capital rule and not overtrading, always allowing $3000 capital for each 100 shares traded in. If you start with $300 capital, then trade in 10-share lots and never risk more than 3 points, or $30, on each of your initial trades. Do not increase your trading unit on initial trades until your capital has increased so that the loss will be only 10% of your capital, if the loss comes.

In pyramiding, it is different. When you make the 2nd or 3rd trade, you have a profit already and are risking part of your profits, but always keep these risks protected with stop loss orders according to the Overnight Chart, so that if your stop loss orders on a pyramid are caught, your total loss will not exceed 10% of your capital. A man who will follow this rule over a long period of years will not only keep his capital, but will make a fortune. This can be demonstrated on any active stock. Use as little human judgment as possible and you will make better success in trading. The Mechanical Method beats human guesswork, because it reverses at the time the trend reverses and doubles up and goes with the trend, while the man who is guessing or using human judgment will wait. You must have machine-like action in order to succeed, and must buy or sell according to the rules, regardless of what you think or hope. This is exactly what I always do in the trading operations which follow on U. S. Steel.

U. S. STEEL TRADES ACCORDING TO OVERNIGHT CHART

1915 - 1930

This trading plan requires $3,000 to start with, to trade in 100-share lots. My rule is never to risk more than 3 points or $300 on any one trade. I protect all trades with stop loss orders. Follow the rules for Resistance Levels and the rules for using the Overnight Chart. When I pyramid, or buy or sell a second lot, I limit my risk so that I will not lose more than 10% of my original capital. In other words, when I buy or sell a second lot, I place stop so that my loss will not exceed $300.

The following operations are based on trading according to the Overnight Chart and the use of Resistance Levels to determine buying and selling points:

1915

February 1, low 38, February 3; high 41½ — a 3-point rally indicated a buying point. Either buy at market or on a reaction. We buy 100 shares at 41. On February 5 it declined to 38⅝, then crossed 41⅛, the top of February 3, and turned Overnight trend up. Stop would now be at 36⅛ or 3 points under 39⅛. Trend continued up to 45 on February 13, then declined to 40¼ on February 24, making a higher bottom than February 5. Raise stop to 38⅛ or 2 points under 2 bottoms close together.

March 8th high 46, then made 3 bottoms around 43½ to 44¼ on March 5, 13 and 18. Here raise stop to 42½ or one point under three bottoms. Then we buy more at 47 when it goes one point above top at 46. Trend continues up to 49⅝ on March 29; again made three bottoms around 47⅝ to 48½; raise stop to 46⅝. Then we buy more at 51 and raise stop on three lots to 48. The advance continued to 58 on April 10, reacted to 55¼ on April 13. We raise stop to 52¼ or three points under.

April 19 made top 60⅝, reacted to 56⅝ on April 24. Raise stop to 55¼, last bottom. April 26 high 59¼, April 27 low 57, a third higher bottom. Raise stop to 56 on all three lots. April 29 high 60-5/8, just 1/8 under top of April 19, April 30 low 58⅛. Raise stop to 57⅛.

May 3rd advanced to 60¾, the third top around same level, where we should either sell out and go short with stop at 63¾ or leave stop at 57½. We sold on stop at 57½

1st purchase 100 at 41, sold at 57½ - profit 16½ points
2nd purchase 100 at 47, sold at 57½ - profit 10½ points
3rd purchase 100 at 51, sold at 57½ - profit 6½ points

or a total of ..... 33½ points on 100 shares,

gives $3,350
Deduct $100 for commission, Tax and Interest 100

Net Gain $3,250

Then we increase trading to 200 shares but loss must be limited to $600, or 3 points on each 100 shares. This would give us 200 short at 57½ with stop at 60½.

Decline followed, broke three bottoms made April 24, 27 and 30. We sell 200 shares more at 54¼. Decline continued to 48¼ where there were three bottoms March 26, 31 and April 1st. Rule says, buy the fourth time with one point stop. We covered 300 shares short at 48½ and bought 200 at 48½ with stop at 46¾, which was one point under bottom of March 26th and April 1st. The profits are as follows:

Sold 200 at 57½,	closed at 48½	- profits	$1,800.00
" 200 " 54¼	" " 48½	- "	1,150.00
		Total -	2,950.00
Commission and Taxes			116.00
		Net Profit	2,834.00
Previous Capital & Profits			6,250.00
Gives a Capital of			$9,084.00

which will allow 300 shares as a trading unit with risk limited to $900 on each trade. We bought 200 at 48½ when we covered shorts, then we would have 100 more to buy later.

The stock advanced to 55¼ on May 12th. If we were watching the resistance level of 54½ or 1/2 from 60¾ to 48¼, we would expect top and a reaction and could have sold out longs and gone short at 54½ with stop at 57½, but we waited for a change on the Overnight Chart.

May 14th, low 49¾. Here we buy 100 more at 50½, then make stop on 300 at 48. The advance was resumed and on May 17th made 53½, then reacted to 51¾, then turned trend up again. We would now raise stop to 49¾, the last bottom.

May 24th high 56½ and crossing 54½, the 1/2 point, the second time indicated higher.

May 26th and June 1st reacted to 53¼ and made double bottom. Raise stop to 50¾ or one point under previous low level and when it crossed 56¼, last top, buy 200 more at 56½ and raise stop on all trades to 52¼, one point under last double bottom. June 4th the stock advanced to 64-1/8. June 9th declined to 56¾. Holding above 56¼, the 1/2 point from last low of 48¼ to high of 64-1/8, was a sign of strong support and showed that the main trend was up because the stock had gone three points above the triple tops made April 19, 29 and May 3rd.

From June 9th a rally followed to June 12th, when the high was 61¼. We now raise stops to 55¾ or one point under low of June 9th.

June 14th declined to 59, then raise stop on all trades to 58. This stop was never caught. The stock advanced to 61¾ on June 22nd, then after a series of lower tops and bottoms, declined to 58¼ on July 7th, then rallied to 59¼ on July 9th and declined same day to 58¼, making a double bottom from which advance was resumed and on July 17th reached 65-1/8, reacted to 62-1/2 on July 20th, rallied to 62-1/8 on the 25th and declined same day to 62¾, making a double bottom again, then went to new high and crossed 66-3/8, the 1/2 point from 94-7/8 to 38. We bought more at 67 and raised stop on all trades to 61¾ or one point under last low of July 26th. Buy 200 more at 72.

August 10th high 76¾; 11th declined to 73-5/8;
12th advanced to 75½; 14th declined to 73-3/8;
18th advanced to 77-5/8.

We now raise stop on all trades to 72-3/8 or one point under the last bottom at 73-3/8. The stop was caught and we sold short 400 shares at 72-3/8.

The account now stands as follows:

Bought	200	at	48½	closed at	72 3/8	profit	$6,725.00
"	100	"	50½	" "	72 3/8	"	2,162.50
"	200	"	56½	" "	72 3/8	"	3,125.00
"	200	"	67	" "	72 3/8	"	1,075.00
							13,087.50
"	200	"	72	" "	72 3/8		
	Less loss of 3/8 on 200				75.00		
	Commissions				225.00		300.00
	Net Gain						12,787.50
	Previous Capital and Profits						9,084.00
	Gives an Operating Capital of						$21,871 50

This would give a limit of 700 shares as a trading unit.

We sold 400 short at 72-3/8
Sold . . 300 " . " 69-3/8

Always calculate the 1/2 point of a previous move.

Last low 58-1/8 July 9th to 77-5/8 high August 18th, making 1/2 point at 67-7/8. August 23rd, declined to 67-3/4. Here we cover shorts and buy 700 longs at 68½, stop 64-7/8. However, a stop at 66-7/8, just one point under 1/2 point, would have held, as low of 67-3/4 was not reached again.

Here our account stands as follows:

Sold 400 at 72-3/8 closed at 68½ profit		$1,750.00
" 300 " 69-3/8 " " 68½ "		252.50
		2,002.50
Less Taxes and Commissions		175.00
		1,827.50
Previous Capital		21,871.50
Operating Capital		$23,698.00

We continue with 700 shares as trading unit. We are now long of 700 shares bought at 68½ with stop 64-7/8. Buy 300 at 72.

Aug.27th, advanced to 77; Sept. 1st, declined to 73-3/4; Sept. 2nd, rallied to 76-3/4.

Here we raise stop to 72-3/4, just one point under September 1st low.

Sept. 10th advanced to 76¼; Sept.11th declined to 73¾; Sept.14th rallied to 76; Sept.17th declined to 74¼;

making five bottoms around 74¼ to 73-3/4, a sure indication that stop should be at 72-3/4.

September 27th, advanced to 79-3/4, getting above all tops since August 27th. We bought 300 at 78½, stop 75½.

October 1st high 81-3/4; 6th low 76-3/4, advance resumed; 19th high 87¼; 20th low 85½; 21st high 87-5/8, stop 84½; 26th low 85¼; 26th high 87¼, the third top around same level.

We could have sold out but we assume stop was caught at 84½, and we went short 700 at 84½.

Our account now reads as follows:

Bought	700	at	68½,	sold at	84½	profit	$11,200.00
"	300	"	72	" "	84½	"	3,750.00
"	300	"	78½,	" "	84½	"	1,800.00
				Profit			16,750.00
				Less Tax and Coms.			325.00
							16,425.00
				Previous Capital			23,698.00
				Operating Capital			$40,123.00

We can now raise trading unit to 1000 shares. We are short 700 at 84½. The last low, October 6th, was 76-3/4, high October 21st, 87-5/8. Makes 1/2 point 82-1/8. October 29th, the stock declines to 82¼. Note October 16th low 82¼. Here we would cover shorts and buy with stop at 81¼. Our account now stands, sold 700 at 84½, closed at 82½, profit $1,400.00

	Less Com. 175.00	
	1,225.00	$1,225.00
	Previous Capital	40,123.00
	Operating Capital	$41,308.00

We now have 1000 shares bought at 82½.

November 1st, advances to 88-3/8; 3rd, low 86; 4th, high 88.

Raise stop to 85, one point under November 3rd low. The stop was caught, and we sold short 1000 at 85. Our account now stands:

Bought 1000 at 82½, sold at 85, profit		$2,500.
	Less Tax and Commissions	250.
		2,250.
	Previous capital	41,308.
	Operating Capital	$43,558.

Short 1000 at 85, stop 88-3/8. The stock declines to 83-5/8 on November 9th; then rallies on November 12th to 88-3/8; declines on November 16th and 20th to 86¼; November 26th high 88¼, December 2nd low 84¼. December 7th high 88¼, making the same level five times. Our stop should be 89¼. December 13th, 17th, 21st made lows 85¼ to 84-7/8, higher than previous bottoms, and our stop should have been reduced to 87¼, one point above December 20th high. This stop was caught, and we would reverse position and buy 1000 at 87¼. Account now stands:

Sold 1000 at 85, closed at 87¼, loss		$2,250.00
	Commissions	250.00
	Net loss	$2,500.00
	Capital of	43,558.00
		2,500.00
	Net Operating Capital	$41,058.00

We have 1000 bought at 87¼. December 27th, advanced to 89½; December 29th, low 86-3/4; December 31st high 89½, a double top - raise stop to 85-3/4. This double top near 90, a strong resistance level, would be the place to sell out and go short, but we stay to see if overnight trend turns down. Stop is caught at 85-3/4, and we sell 1000 short at 85-3/4. Account now stands as follows:

Bought 1000 at 87¼, sold at 85-3/4, loss	$1,500.00
Commissions	250.00
	$1,750.00

from capital of $41,058.00 leaves a balance of $39,308.00, and 1000 short at 85-3/4.

1916

January 24th, declined to 82½, same low as October 16th and 29th, 1915. We cover shorts at 82½ and buy 1000 82½.

Account now stands:

Sold 1000 at 85-3/4 closed at 82½ profit	$3,250.00
Less commissions	250.00
	3,000.00
Capital	39,308.00
Operating balance	$42,308.00

Bought 1000 at 82½, stop 81½.

January 26th high 86; 27th low 82-3/4; 28th high 84½.

Raise stop to 81-3/4, one point under January 27th low. This stop was caught and we go short 1000 at 81-3/4. Account now stands:

Bought 1000 at 81½, sold at 81-3/4, even, counting commissions.

Capital $42,308.00

Short 1000 at 81-3/4, stop 83½.

January 31st low 79-7/8; February 4th high 83-3/4; 5th low 82½; 10th high 85-5/8.

Stop caught and we buy 1000 at 85-5/8. Account now stands:

Sold 1000 at 81-3/4, closed at 85-5/8, loss $3,787.50

From $42,308.00 leaves $38,520.50, with 1000 bought at 85-5/8, stop 81-1/4.

February 17th and 24th, made lows at 82⅜ and 82-3/8. Raised stop to 81½. Stop caught and we go short 1000 at 81½. Account stands:

Bought 1000 85-5/8, sold at 81½, loss $4,125.
Less commissions 250.
$4,375.
from capital $38,530.00, leaves $34,145. with 1000 short at 81½.

March 1st declines to 79-3/4, same low as January 31st. We cover shorts and buy 1000 at 80¼. Account now stands:

Sold 1000 at 81½, closed 80¼, profit $1,250.00
Less commissions 250.00
Net $1,000.00
Added to Capital gives 39,520.00,

with 1000 bought at 80¼, stop 79¼. March 17th high 87¼, March 22nd low 84. We raise stop to 83. April 4th high 86. April 8th and March 31st lows 83-3/4. April 10th high 85¼. Decline follows. Stop is caught at 83 and we go short 1000. Account now stands:

Bought 1000 at 80¼, sold at 83, profit $2,750., less commissions of $250.00, leaves $2,500. net profit. Added to capital gives $42,020.00 with 1000 short at 83.

April 22nd declines to 80 and we cover at 80¼ and buy 1000 because this is same bottom as January 31st and March 1st. We protect with stop 79¼, this being a triple bottom.

April 25th high 84, April 26th low 80-3/8, a higher bottom. May 1st high 84½; May 5th low 80½, a slightly higher bottom. From high of 89⅜ on December 31, 1915 to low of 79-3/4 March 1st, 1916, makes 1/2 point 84-5/8, and making 85-5/8 would indicate higher.

May 25th high 86-5/8 and last low on 17th was 84. Therefore we raise stop to 83. The stock declines to 83-5/8 on June 2nd, June 12th advances to 87⅜. June 12th low 86. June 14th high 87. We raise stop to 85, which is caught, and we go short 1000 at 85. Account stands:

Bought 1000 at 80¼, sold at 85, profit $4,750.00, less $250.00 commission, gives net $4,500.00. Added to capital gives $46,520.00 and 1000 short at 85, stop 88.

June 27th declines to 82-3/4 and as top on June 26th was 84¼ we reduce stop to 85¼, which is caught and we buy 1000 at 85¼. The account now stands:

Sold 1000 at 85, closed 85¼, loss of 1/4 point and commission, makes $500. from $46,520.00, leaves $46,020.00 and 1000 bought at 85¼, stop 81-3/4.

July 6th high 87¼, July 14th low 83¼, we raise stop to 82¼. June 24th high 87¼, July 25th low 85½, we raise stop to 84¼. July 27, August 2nd and 5th, makes low 85-3/4 and 86, and we raise stop to 84-3/4. A big advance follows and at 90½ we buy 300 more because the stock has gone one point into new high after holding for nine months between 89½ and 79-3/4. August 17th high 92-5/8, August 18th low 91. We raise stop on all trades to 90 and at 94 buy 300 more, August 23rd high 99½, the highest in its hisory. August 24th low 96-3/4. We raise stop to 95-3/4. August 25th high 99¼. August 28th low 95-3/4. Catches stop and we go short 1000 at 95-3/4. The account now stands:

Bought	1000	at	85¼,	sold	95-3/4,	profit $10,500.
"	300	"	90½,	"	95-3/4,	" 1,575.
"	300	"	94	"	95-3/4,	" 525.
						12,600.
	Less commissions					400.
	Net profit					$12,200.
	Capital					46,030.
						$58,220.

with 1000 shares short at 95-3/4. We can now increase trading unit to 1200 shares. August 30th low 95¼. The high on 29th was 97, so we make stop to 97. August 31st stop is caught and we buy 1,200 at 97. Account now stands:

> Sold 1000 at 95-3/4, closed at 97, loss $1,500.
> from capital leaves $56,720, and 1200 bought at 97.

August 31st advances to 99-3/8 for third time and can't go thru 100, so we sell out at 99 and go short 1200 at 99. Account now stands:

> Bought 1200 at 97, sold at 99, net profit $2,100.
> Added to capital gives $58,820.00 and 1200 short at 99.

September 1st declines to 95, getting only 1/4 under low of August 30th. We reduce stop to 99, which is caught, but we wait to buy until stock can make new high and go through 100 -- a very important Resistance Level. Account now stands:

> Sold 1200 at 99, closed at 98, profit $900.00.
> Added to capital gives $59,720.

The advance continues and at 100½ we buy 1200 with stop 97½, and at 105½ we buy 600 more, and at 110½ - 600 more. The lows on September 19th and 20th were 107, so we raise stop to 106 on all trades. At 110½ we buy 300 more. September 25th high 120, a Resistance Level. September 26th low 113-3/4. We raise stop on all trades to 112-3/4. September 29th high 120½. September 30th low 116¼. We raise stop to 115¼. October 2nd, 4th, 5th, makes tops at 118-5/8 to 118-3/4 and low on October 4th was 117, so we raise stop to 116, which is caught, and we go short 1200. Account now stands:

Bought	1200	at	100½,	sold at	116,	profit $18,600.
"	600	"	105½	" "	116	" 6,300.
"	600	"	110½	" "	116	" 3,300.
"	300	"	115½	" "	116	" 150.
						28,350.
	Less commissions					675.
						27,675.
	Previous Capital					59,720.
	Operating Capital					$87,395.

and short 1200 at 116, with stop 119. We can now increase trading to 1500 shares.

Decline follows and we sell 600 more at 111. October 9th low 108; October 10th high 113. Reduce stop to 113. October 14th low 108, same as October 9th, a double bottom. We figure from last low September 1st at 95 to high 120½ September 29th and find 1/2 point is 107-3/4, so we cover shorts at 108½ and buy 1500 with stop 106-3/4. The account now stands:

Sold	1200	at	116,	closed at	108½,	profit $9,000.
"	600	"	111,	" at	108½,	" 1,500.
						10,500.
	Less Commission					950.
	Net profit					9,550.
	Capital Added					87,395.
	Operating Capital					$97,045.

with 1500 bought at 106½. Bought 700 more at 114. October 23rd high 121-3/4. Bought 400 more at 121½, because it was a new high. October 26th low 117¼. Raised stop on all trades to 116¼. November 2nd high 122¼. November 4th low 119-3/4. Raised stop to 118-3/4. November 5th high 126. November 9th low 122½. Raised stop to 121½. Stops were caught, and we go short 1500 at 121½. The account now stands:

Bought	1500	at	108½,	sold	121½,	profit $9,500.
"	700	"	114	"	121½,	" 5,250.
"	400	"	121½	"	121½,	" ---
						24,750.
	Less Commissions					650.
						24,100.
	Capital					97,045.
	Operating Capital					$121,145.

with 1500 short at 121½. We can now be very conservative and increase trading to 2000 shares and should we have ten consecutive losses of 3 points each, we would still have half our capital left to operate with, and ten consecutive losses are highly improbable.

November 14th, declined to 120¼, failing to make low of November 4th, which was 119-3/4. We reduce stop to 123¼, which is caught and we buy 2000 at 123¼ with stop at 120. November 27th, high 129-3/4, November 28th low 125-3/4. We raise stop to 124-3/4. This stop was caught, and we go short 2000 shares. The account now stands:

1500 sold at 121½, closed at 123¼, loss $3,000.
2000 " " 123¼ " " 124-3/4 profit $3,000
Leaves a loss of commissions on 3500 shares, which is $875 from capital $121,145, leaves $120,270.00.

with 2000 short at 124-3/4. December 4th high 120½, and we make stop 127½. Decline follows. We sell 1000 more at 119-3/4. December 13th high 120½ and we reduce stop to 121½ on all trades. We sell 500 more at 115½. December 15th low 109¼. December 16th high 114-5/8. We reduce stops to 115-5/8, which are caught, and we go long 2000 at 115-5/8. The account now stands:

Sold	2000 at	124-3/4,	closed	115-5/8,	profit $18,250.00
"	1000 "	119-3/4	"	115-5/8	" 4,112.50
"	500 "	115-1/2	"	115-5/8	" 362.50
					22,362.50
		Less loss of 1/8 on 500 and commission			937.50
		Profit			21,425.00
		Capital			120,270.00
					$141,695.00

with 2000 bought at 115-5/8. December 19th high 116¼. The low on 18th was 112½, so we raise stop to 111½, which is caught and we go short 2000 at 111½. Account stands:

Bought 2000 at 115-5/8, sold at 112½, loss $5,250
Commissions 500.
$5,750.

from capital of $141,695 leaves $134,945, with 2000 short at 111½. The decline continues, and we sell 1000 more at 106½. December 21st panicky decline. Stock sells at 100, a Resistance Level, where we should cover, but we reduce stop to 105, which is caught, and we buy 2000 at 105. Account now stands:

Sold	2000 at	111½,	closed	105,	profit $13,000.
"	1000 "	105½	"	105	" 1,500.
					14,500.
		Less Commissions			750.
		Profit			13,750.
		Capital			134,945.
		Total Capital			$148,695.

with 2000 bought at 105, and we buy 1000 more at 110.

1917

January 4th high 115-3/4. We figure high 129-3/4 to 110 low and get 1/2 point 114-7/8, and looking back to December 19th, we see last high was 116½. Therefore, we sell out longs at 114½ and go short with stop 117½. The account now stands:

Bought 2000 at 105, sold at 114½, profit		$19,000
" 1000 " 110 " " 114½ "		4,500
		23,500
Less Commissions		750
Net Profit		$22,750
Capital		148,695
		$171,445

with 200 short at 114½. The stock declines to 109¼ on January 5th; then advances to 113-7/8 on January 9th, and on 11th makes 109½, same low as January 5th. We cover shorts and buy 2000, because 108 is 1/2 point from 100 to 115-7/8. The account now stands:

Sold 2000 at 114½ closed at 110 profit		$9,000
Less commissions		500
Profit		$8,500
Capital		171,445
	Total capital	$179,945.

with 2000 bought at 110, stop 107. January 19th and 26th advances to 115½. We sell out at 114½ and sell short with stop 116½; because it is 1/2 point and strong Resistance Level. The account stands:

Bought 2000 at 110, sold 114½, profit		$9,000
Less Commissions		500
		$8,500
Capital		179,945
Total		$188,445.

with 2000 short at 114½. We sell 1000 more at 109½. February 1st, just two years from the low of 38 on February 1, 1915, U.S.Steel declines to 99. We cover shorts and buy 2000 at 100, because 100 was low on December 21, 1916. We protect with stop at 99 and stop is caught, and we go short 2000 at 99. The account now stands:

Sold 2000 at 114½, closed at 100, profit		$29,000
" 1000 " 109½ " " 100 "		9,500
Profit		$38,500
Loss one point on 2000 and Commissions on 5000		3,250
Net Profit		35,250
Capital		188,445
		$223,695.

with 2000 short at 99. February 2nd high 104-1/8. We place stop 105-1/8. February 3rd low 99¼, a higher bottom than February 1st, and counting December 21st, three bottoms around the same level. We reduce stop to 102¼ and stop is caught. We reverse and buy 2000 at 102¼. The account now stands:

Sold 2000 at 99, closed at 102¼, loss	$6,500
Commissions	500
	$7,000

Deducted from capital leaves $216,695. and 2000 bought at 102¼. The stock advances, making higher bottoms until February 20th and 25th, when it makes double top at 109½ with bottom at 106¼ on February 23rd. We raise stop to 105¼. This stop was caught and we sell 2000 short at 105¼. The account now stands:

Bought 2000 at 102¼, sold at 105¼, profit	$6,000
Commissions	500
Profit	5,500
Capital	216,695
Total	$222,195.

with 2000 short at 105¼. March 1st low 103½, same low as March 9th. Figuring 1/2 point from 99 to 109½ high makes the 1/2 point at 104¼ a buying level. We cover shorts and buy 2000 at 104½. The account now stands:

Sold 2000 at 105¼, closed at 104½, profit	$1,500
Commissions	500
Net Gain	$1,000
Capital	222,195
Total	$223,195.

with 2000 bought at 104½, stop 102½. The stock advanced and we bought 1000 more at 110½, when it crossed the last two tops. March 6th high 111½; March 7th low 109½. We raise stop on all trades to 108½. Then buy 500 more at 114½. March 21st high 118; March 22nd declined to 115¼. We raise stop to 114¼ which was caught and we go short 2000 at 114¼. The account now stands:

Bought 2000 at 104½, sold at 114¼, profit	$19,500
" 1000 " 110½ " " 114¼ "	3,750
Profit	23,250
Less loss of ¼ on 500 and commissions	1,000
Net Profit	$22,250
Capital	223,195
Total	$245,445.

with 2000 short 114¼. March 31st declines to 113-3/4. Last tops on March 28th and 30th were at 116. We make stop 117, which is caught, and we buy 2000 at 117. The account now stands:

Sold 2000 at 114¼, closed at 117, loss	$5,500.
Commissions	500.
Net Loss	$6,000.
from capital leaves balance of	$239,445.

with 2000 bought at 117. April 3rd advances to 118-3/4. We raise stop to 116-3/4, which is caught, and we go short 2000 at 116-3/4. The account now stands:

Bought 2000 at 117, sold at 116-3/4, loss	$500
Commissions	500
Net Loss	$1,000
Subtract from capital leaves	$238,445.00

with 2000 short at 116-3/4. The decline follows and we sell 1000 at 112-3/4, because it is under the last three bottoms. March 10th low 108-3/4. From 99 low to 118-3/4 high makes the 1/2 point 108-7/8. We cover shorts at 109¼ and buy 2000 at 109¼, stop 107-7/8. The account now stands:

Sold	2000	at	116-3/4,	closed at	109¼, profit	$15,000
"	1000	"	112-3/4	"	" 109¼ "	3,500
						18,500
				Less Commissions		750
				Net Profit		$17,250.

Added to capital gives $245,695.00

with 2000 bought at 109¼. April 20th last low 110½. We raise stop to 109½. We buy 1000 more at 113½. April 26th and May 1st high 117-3/4, and May 28th low 115½. We raise stop on all trades to 114¼. The stop was caught, and we go short 2000 at 114¼. The account now stands:

Bought	2000	at	109¼,	sold at	114¼, profit	$10,000
"	1000	"	113½	"	" 114¼ "	750
				Net Profit		$10,750
				Less Commissions		750
						$10,000
				Capital		245,695
				Total		$255,695

with 2000 short at 114½, stop 117½; May 9th low 112½; May 8th last high 116½; May 11th high 116-3/4; May 11th low 114-3/4. Stop was caught at 117-1/4, and we buy 2000 at 117-1/4. The account now stands:

Sold 2000 at 114½, closed at 117½, loss	$6,000
Commissions	500
Net Loss	$6,500
Deducted from capital leaves balance of	$249,696.00

with 2000 bought at 117½. The advance gets under way, and we buy 1000 more at 119-3/4, because it is one point above high of April 3rd. We buy 500 at 124-3/4; we buy 300 at 129-3/4 May 31st high 136-5/8. Last low on May 28th was 131½. We raise stop on all trades to 130½. This stop was caught, and we sell 2000 short at 130-1/4. The account now stands:

Bought 2000 at 117½, sold at 128-3/4, profit	$23,000
Bought 1000 at 119-3/4 " " 128-3/4, profit	9,000
Bought 500 at 124-3/4 " " 128-3/4, profit	2,000
	$34,000
Bought 300 at 129-3/4, sold 128-3/4, loss	300
	$33,700
Less Commissions	950
Net	32,750
Capital	249,695
Total	282,445.

with 2000 short at 128-3/4. June 1st low 126-3/4. June 2nd high 131½. We make stop 132½. Stop was caught, and we bought 2000 at 132½. Account now stands:

Sold 2000 at 128-3/4, closed at 132½, loss	$7,000
Commissions	500
Net Loss	$7,500
Deducted from $282,445.00 leaves	$274,945.00.

with 2000 bought at 132½. May 14th high 134-5/8. May 15th low 130½. We make stop 129½, which was caught, and we go short 2000 at 129½. The account now stands:

Bought 000 at 132½, sold 129½, loss	$6,000
Commissions	500
Net Loss	$6,500
Deducted from Capital leaves	$268,445.00

with 2000 short at 129¼. June 20 low 125⅝. We reduce stop to 129½, which was caught, and we buy 2000 at 129½. Account now stands:

Sold 2000 at 129¼, closed at 129½, loss	$500
Commissions	500
Net	$1,000

Deducted from Capital leaves $267,445.00

with 2000 bought at 129½, June 27th high 132-3/4. Last low was 128-3/4 on June 26th. We raise stop to 127-3/4, which was caught, and go short 2000 at 127-3/4. Account now stands:

Bought 2000 at 129½, sold at 125-3/4, loss	$6,750
Commissions	500
Net	$7,250
Deducted from capital leaves	$260,245.00

with 2,000 short at 127-3/4; sold 1000 more at 123-3/4. July 19th low 118-3/4. Last high was 122⅝, on July 18th. We reduced stop to 123¼, which was caught, and we buy 2000 at 123¼. The account now stands:

Sold 2000 at 125-3/4, closed at 123¼, profit	$4,500
" 1000 " 123-3/4 " " 123¼, "	500
	$5,000
Less Commissions	750
Net	4,250
Capital	260,245
	264,495.

with 2000 bought at 123¼. The advance follows, and we calculate from the high 136-5/8 to the low 118-3/4 and find the 1/2 point is 127-5/8. The stock advances to 127-7/8 on August 7th, and we sell out longs and go short 2000 at 127⅝. The account now stands:

Bought 2000 at 123¼, sold at 127⅝, profit	$8,000
Less Commissions	500
Net	7,500
Capital	264,491
	$271,995

with 2000 sold at 127⅝. We sell 1000 more at 122, because it has broken three bottoms. We sell 500 more at 117⅝ after it has broken four other bottoms. September 4th low 104⅝. September 6th high 109⅝. We reduce stop on all trades to 110⅝. September 17th low 103-3/4, and the last high was 108-3/4 on September 14th. We reduce

stops to 109-3/4. The stops were caught, and we bought 2000 at 109-3/4. The account now stands:

Sold 2000 at 127½,	closed at	109-3/4,	profit	$17,500
Sold 1000 at 122	"	" 109-3/4	"	12,250
Sold 500 at 117½	"	" 109-3/4	"	4,375
	Total			$34,325
	Less Commissions			875
	Net			$33,450
	Capital			271,995
	Total			$305,445.

with 2000 bought at 109-3/4. September 25th high 113-7/8. The last lowwas 109-1/2 on September 24th. We raise stop to 108½. The stop was caught, and we sell short 2000 at 108½. The account now stands:

Bought 2000 at 109-3/4, sold at 108½, loss		$2,500
Commissions		500
Net Loss		$3,000
Deducted from capital, leaves		$302,445.00

with 2000 short at 108½. Sold 1000 more at 103½. October 15th it declines to 99, and we reduce stop to 104, which was caught, and we buy 2000 at 104. The account now stands:

Sold 2000 at 108½,	closed at	104,	profit	$9,000
" 1000 at 103½	"	" 104,	loss	500
				$8,500
	Less Commissions			750
	Net Profit			$7,750
	Capital			302,445
	Total			$310,195

with 2000 bought at 104. October 22nd high 107-3/8. October 26th, low 103-7/8. We raise stop to 102-7/8. The stop was caught, and we go short 2000 at 102-7/8. The account now stands.

Bought 2000 at 104, sold at 102-7/8, loss		$2,250
Commissions		500
		$2,750
Deducted from capital leaves		$307,445.

with 2000 short at 101-7/8. Sold 1000 more at 98. Sold 500 more at 93. November 8th low 88-3/4. November 12th high 94-3/4. Reduced stop to 95-3/4. November 14th low 89½. Reduced stop to 94-3/4. The stop was caught, and we buy 2000 at 94-3/4. The account now stands:

Sold	2000	at	101-7/8,	closed	at	94-3/4,	profit $14,250
"	1000	"	98	"	"	94-3/4	" 3,250
							17,500
Sold	500	"	93	closed	at	94-3/4,	loss 875
							16,625
			Less Commissions				875
			Net				$15,750
			Capital				307,445
			Total				$323,195

with 2000 bought at 94-3/4. November 26th high 99¼. Last low on November 22nd at 96. We raise stop to 95, and it was caught. We go short 2000 at 95. The account now stands:

Bought 2000 at 94-3/4, sold at 95 makes it even allowing 1/4 for commissions. Balance $323,195.00.

with 2000 short at 95. Sold 1000 more at 90. Sold 500 more at 85. December 13th low 79-7/8. December 14th high 84½. December 17th low 80⅜. December 18th high 83-3/4. December 20th low 79⅜. As 79-3/4 was last low March 1, 1916, we cover shorts at 80 and buy 2000 with stop at 79. The account now stands.

Sold	2000	at	95,	closed	at	80,	profit $30,000
"	1000	"	90,	"	"	80,	" 10,000
"	500	"	85,	"	"	80,	" 2,500
							$42,500
			Less Commissions				875
			Net				$ 41,625
			Capital				323,195
			Total				$364,820

with 2000 bought at 80, stop 79. Bought 1000 more at 85 and raised stop to 82. Bought 500 more at 90 and bought 300 more at 95.

1918

January 3, 1918 high 98 and January 5th low 82¼. Raised stop on all trades to 91¼. January 8th high 97¼. January 9th low 93⅜. Raised stop to 92⅜. The stop was caught, and we went short 2000 at 92⅜. Account now stands:

Bought	2000	at	80,	sold	92⅜,	profit	$25,000
"	1000	"	85,	"	92⅜	"	7,500
"	500	"	90,	"	92⅜	"	1,250
							$33,750

Brought Forward	$33,750
Bought 300 at 95, sold at 92½, loss	750
	$33,000
Less Commissions	950
Net	$32,050
Capital	364,820
Total	$406,870.

with 2000 short at 92½. January 15th low 88½. January 16th high 91¼. Reduced stop to 92¼. We figure last low 79⅜ on Dec. 20th to high 98 on January 3, 1918, and find 1/2 point - 88-5/8. On January 18th low 88-3/4. We cover shorts at 89 and buy 2000 at 89, with stop 87-5/8. February 1st, 19th and 27th highs at 98⅜ to 98, failing to cross top of January 3rd. We sell out at 98 and go short 2000 at 98, with stop 99.

The decline follows. Sold 1000 more at 93-3/4, because it is one point under February 21st. March low 89½. March 6th high 91-7/8. We reduce stop to 92-7/8. March 25th low 86-1/2. April 1st high 90-5/8. We reduce stop to 91-5/8. The stop was caught, and we buy 2000 at 91-5/8. April 2nd and 5th low 89-3/4. We raise stop to 88-3/4. Stop was caught and we sell 2000 short 88-3/4. Last top was 91-5/8 on April 5th. We place stop at 92-5/8. The stop was caught. We buy 2 000 at 92-5/8. April 22nd high 96-1/4. April 23rd, 26th, 27th and 30th lows at 93-3/4. We raise stop to 93-3/4. May 5th, we buy 1000 more at 99, because the stock has crossed all tops made early in the year. We raise stop to 96-3/8. We buy 500 more at 104 and raise stop to 101, which was one point under May 9th low.

We buy 200 more at 109. May 16th high 113-3/4. May 14th low 109-3/8. We raise stop to 108-3/8. Stop was caught, and we sell short 2000 at 108-3/8. May 22nd high 110⅜. We make stop 111½. We sell 1000 more at 105½. June 1st low 96¼. We figure from low of 79⅜ to high 113-3/4 and find 96-5/8 the 1/2 point. We cover shorts and buy 2000 at 97 with stop 95-5/8. After June 10th, we raise stop to 96⅜. We buy 1000 more at 104⅜. June 27th high 110½. Last low June 25th 107¼ so we raise stop to 106¼. The stop was caught, and we sell short 2000 at 106¼. July 15 low 101⅜. Last top July 12th was 104-3/4. We make stop 105-3/4. Stop was caught, and we buy 2000 at 105-3/4. We buy 1000 more at 110-3/4. August 28th high 116½. Last low 110-3/4 on August 22nd. We make stop 109-3/4. Stop was caught and we sell short 2000 at 109-3/4.

September 13th low 107. September 14th high 109-3/4. We reduce stop to 110-3/4. Stop is caught, and we buy 2000 at 110-3/4 September 27th high 113½. Last low 109-3/4, September 25th. We raise stop to 108-3/4. Stop was caught, and we sell short 2000 at 108-3/4.

We figure from June 1st low 96¼ to August 28th high 116½, which makes 106-3/8 the 1/2 point. We cover shorts at 106½ and buy 2000 at 106½, stop 105-3/8. Stop is caught, and we sell short 2000 at 105-3/8.

October 9th low 104-5/8. Last low, October 8th, 108½. We make stop 109-1/8 , which is caught, and we buy 2000 at 109-1/8. October 19th high 114½. We raise stop to 111½. The stop is caught, and we sell 2000 short at 111½, sell 2000 more at 107½, sell 500 more at 102⅜, and on November 7th, high 104¼ we reduce stop on all trades to 105-1/8. November 29th low 94. High same day 96¼. We reduce stop to 97¼. Stop was caught, and we buy 2000 at 97¼. December 11th high 99-3/4. Last low 95¼ on December 6th. We raise stop to 94¼. Stop is caught, and we sell short 2000 at 94¼.

December 26th low 92⅜. December 30th high 95¼. We make stop at 96¼. Stop was caught, and we buy 2000 at 96¼. Last low December 31st, 93-3/4. We place stop at 92-3 /4. Stop was caught, and we sell short 2,000 at 92-3/4.

1919

January 9, 1919, high 94-3/8. We make stop 95-3/8. January 21st low 88-3/4. January 22nd high 90-5/8. January 25th high 94. January 27th low 90-3/4. We make stop 89-3/4. Stop was caught, and we sell 2000 short at 89-3/4. February 10th low 88¼. February 4 th high 91. We make stop 92. Stop was caught, and we buy 2000 at 92.

The statement below covers trades from January 10, 1918 to February 10, 1919:

					DEBIT	CREDIT
				January 10, 1918		$406,870
Sold	2000	at	92½	closed at 89		7,000
Bought	2000	"	89	" " 98		18,000
Sold	2000	"	98	" " 91-5/8		12,760
Sold	1000	"	93-3/4	" " 91-5/8		2,120
Bought	2000	"	91-5/8	" " 88-3/4	$5,760	
Sold	2000	"	88-3/4	" " 92-5/8	7,760	
Bought	2000	"	92-5/8	" "108-3/8		31,500
Bought	1000	"	99	" "108-3/8		9,380
Bought	500	"	104	" "108-3/8		2,190
Bought	200	"	109	" "108-3/8	124	
Sold	2000	"	108-3/8	" " 97		22,760
Sold	1000	"	105½	" " 97		8,500
Bought	2000	"	97	" "106¼		18,500
Bought	1000	"	104½	" "106¼		1,750
Sold	2000	"	106¼	" "105-3/4		1,000
Bought	2000	"	105-3/4	" "109-3/4		8,000
Bought	1000	"	110-3/4	" "109-3/4	1,000	
Sold	2000	"	109-3/4	" "110-3/4	2,000	
Bought	2000	"	110-3/4	" "108-3/4	4,000	
Sold	2000	"	108-3/4	" "106-1/2		4,500
Bought	2000	"	106-1/2	" "105-3/8	2,240	
Sold	2000	"	105-3/8	" "109-1/8	7,500	
Bought	2000	"	109-1/8	" "111-1/2		4,740
Sold	2000	"	111-1/2	" " 97¼		28,500
Sold	1000	"	107-1/2	" " 97¼		10,250
Sold	500	"	102-1/2	" " 97¼		2,625
Bought	2000	"	97¼	" " 94¼	6,000	
Sold	2000	"	94¼	" " 96¼	4,000	
Bought	2000	"	96¼	" " 92¾	7,000	
Sold	2000	"	92-3/4	" " 91-5/8		2,240
Bought	2000	"	91-5/8	" " 89-3/4	3,760	
Sold	2000	"	89-3/4	" " 92	4,500	
					$55,644	$603,185
				Commissions	13,050	68,694
				Net Profit		$534,491

Bought 2000 at 92 - February 10, 1919. February 27th high 95-3/4. Low on February 25th 93½. We raise stop to 92½. Stop was caught. We sell short 2000 at 92½. March 5th low 91-5/8; same low as March 1st. Last high March 3rd at 94-5/8. We make stop 95-5/8. The stop was caught. We buy 2000 at 95-5/8. March 11th low 95½. We make stop 94½. The stop was caught. We sell short 2000 at 94½. March 19th low 94¼, stop 98. Stop was caught and we buy 200 at 98.

The market makes a series of narrow moves, and on April 23rd makes high at 103. April 25th low 99¾. We make stop 98¾. Stop was caught, and we sell short 2000 at 98¾. May 1st low 96½. May 3rd high 99¾. We make stop 100¾. Stop was caught, and we buy 2000 at 100¾. Buy 1000 at 104.

June 6th high 111¾. June 11th low 106¾. We raise stop to 105¾. The stop was caught, and we sell short 2000 at 105¾. June 16th low 103¼. We figure last low May 1st 96½ to June 6th at 111¾, making 1/2 point 104-1/8. We cover shorts at 104¼ and buy 2000 at 104¼, stop 103-1/8, and buy 1000 more at 109½.

July 7th high 115-1/8. July 11th low 111-5/8. We raise stop to 110-5/8. Stop was caught. We go short 2000 at 110-5/8. July 24th high 113-3/8. We make stop 114-3/8. We sell 1000 more at 105, because it is one point under 1/2 point from 96½ to 115½.

August 21st low 98½. August 25th high 101-5/8. We reduce stops to 102-5/8. Stops are caught, and we buy 2000 at 102-5/8 with stop 99½.

September 4th high 107½. September 5th low 103¼. We place stop 102¼. Stop was caught and we sell short 2000 at 103¼. September 20th low 100½. We make stop 103½. Stop was caught. We buy 2000 at 103½.

October 10th high 112½. October 23rd low 108. We make stop 107. Stop was caught. We sell short 2000 at 107 and place stop at 110. Stop was caught. We buy 2000 at 110. November 5th high 112½, same high at October 10th. We sell out at 112 and go short 2000 at 112 with stop at 113½. We sell 1000 more at 107. December 1st low 101. December 3rd high 103¼. We make stop 104¼. Stop was caught. We buy 2000 at 104¼, with stop at 100. December 12th low 100½.

1920

January 5, 1920 high 109. January 8th low 105¾. We make stop 104¾. Stop was caught, and we sell short 2000 at 104¾. January 19th low 104½. January 20th high 106. We make stop 107. Stop was caught. We buy 2000 at 107 with stop 104. Stop was caught. We sell 2000 at 100. Sell 1000 more at 99. February 27th low 92½. We reduce stop to 95½. Stop was caught, and we buy 2000 at 95½.

March 20th low 102¼. We raise stop to 101¼. Stop was caught. We go short 2000 at 101½. March 25th low 100½. We make stop 103¼. Stop was caught. We buy 2000 at 103½. April 7th high 107½. April 12th low 104. Make stop 103. Stop caught. We sell 2000 at 103. Sell 1000 more at 99.

May 24th low 89½. Last high June 22nd at 92½. We make stop 93½. Stop caught. We buy 2000 at 93½. June 14th low 92¾. Raise stop to 91¾. Stop caught. We sell 2000 at 91¾. June 23rd low 91⅛. June 26th high 93. We make stop 94. Stop caught. We buy 2000 at 94. July 8th high 95⅛. We make stop 92½. Stop caught. We sell 2000 at 92½ and sell 1000 at 87½.

August 9th low 84. August 7th low 96½. We make stop 87. Stop caught. We buy 2000 at 87. September 8th high 91½. August 23rd low 88-1/8. We make stop 87¼. Stop caught. We sell 2000 at 87¼. The decline follows, and we sell 1000 more at 85¼.

December 21st low 76¼. December 24th high 97-7/8. We make stop 80-7/8. The stop caught. We buy 2000 at 80-7/8. February 16th high 85. February 21st low 82-3/4. We make stop 81¾. Stop caught. We sell 2000 at 81¾. March 12th low 77¾. We make stop 80¾. The stop was caught. We buy 2 000 at 80¾.

The statement below covers trades from February 10, 1919 to March 15, 1921:

						DEBIT	CREDIT
				February 10, 1919			$534,491
Bought	2000	at	92	closed at	92½		1,000
Sold	2000	"	92½	" "	95-5/8	$ 250	
Bought	2000	"	95-5/8	" "	94-1/2	2,250	
Sold	2000	"	94-1/2	" "	98	7,000	
Bought	2000	"	98	" "	98¾		1,500
Sold	2000	"	98¾	" "	100¾	4,000	
Bought	2000	"	100¾	" "	105¾		10,000
Bought	1000	"	104	" "	105¾		1,750
Sold	2000	"	105¾	" "	104¼		3,000
Bought	2000	"	104-1/8	" "	110-5/8		13,000
Bought	1000	"	109	" "	110-5/8		1,625
Sold	2000	"	110-5/8	" "	102-5/8		16,000
Sold	1000	"	105	" "	102-5/8		2,375
Bought	2000	"	102-5/8	" "	102-1/4	750	
Sold	2000	"	103¼	" "	103-1/2	500	
Bought	2000	"	103½	" "	107		7,000
Sold	2000	"	107	" "	110	7,000	
Bought	2000	"	110	" "	112		4,000
Sold	2000	"	112	" "	104¾		1,550
Sold	1000	"	107	" "	104¼		2,750
Bought	2000	"	104¼	" "	104¾		1,000
Sold	2000	"	104¾	" "	107	4,500	
Bought	2000	"	107	" "	104	6,000	
Sold	2000	"	104	" "	95½		17,000

(Continued on next page)

					DEBIT	CREDIT
Sold	1000	at 99	closed	at 95½		$3,500
Bought	2000	" 95½	"	" 101¼		11,500
Sold	2000	" 101¼	"	" 103¼	$4,000	
Bought	2000	" 103¼	"	" 103	500	
Sold	2000	" 103	"	" 95½		15,000
Sold	1000	" 99	"	" 95½		3,500
Bought	2000	" 95½	"	" 91¼	7,500	
Sold	2000	" 91¼	"	" 94	4,500	
Bought	2000	" 94	"	" 92½	3,000	
Sold	2000	" 92½	"	" 87		11,000
Sold	1000	" 87¼	"	" 87		500
Bought	2000	" 87	"	" 87¼		500
Sold	2000	" 87¼	"	" 80-7/8		12,750
Sold	1000	" 85¼	"	" 80-7/8		5,625
Bought	2000	" 80-7/8	"	" 81-3/4		1,750
Sold	2000	" 81-3/4	"	" 80-3/4		2,000
					$51,750	$685,666
			Commissions		18,000	69,750
			Net Profit			$615,916

March 15, 1921, bought 2000 at 80-3/4. March 22nd low 80¾ We make stop 79¾. April 14th stop caught. We sell short 2000 at 79-3/4, stop 82-3/4. Stop caught. We buy 2000 at 82-3/4. May 6th high 86-1/2. We make stop 83-1/2. Stop caught. We go short 2000 at 83-1/2. Decline continues. We sell 1000 at 78-1/2. June 23rd low 70-1/2. We reduce stop to 73-1/2. Stop was caught and we buy 2000 at 73-1/2. June 30th low 73-5/8. We make stop 72-5/8. Stop caught. We go short 2000 at 72-5/8. July 16th low 71-1/2. July 20th high 73-1/2 . We make stop 74-1/2. Stop caught. We buy 2000 at 74-1/2.

September 19th, 26th and 30th high 80½. We sell out at 80 and go short 2000 at 80, stop 81½. October 17th low 77¼. October 20th, high 78-5/8. We make stop 79-5/8. Stop is caught, and we buy 2000 at 79-5/8. December 15th low 83-3/4. We raise stop to 82-3/4. Stop is caught, and we go short 2000 at 82-3/4.

1922

January 6th low 82. January 9th high 83½. We make stop 84½. Stop caught. We buy 2000 at 84½ and buy 1000 at 89½. Buy 500 at 94½. Buy 300 at 99½.

April 20th high 100½. April 18th last low 97. We raise stop to 96. June 6th high 103½, low 102-5/8 on June 5th. We raise stop to 101-5/8. Stop caught. We sell short 2000 at 101-5/8.

The statement below covers trades from March 15, 1921 to June 1922:

				DEBIT	CREDIT
		March 15, 1921			$615,916
Bought 2000	at 80 3/4	closed at	79 3/4	$2,000	
Sold 2000	" 79 3/4	"	" 82 1/4	6,000	
Bought 2000	" 82 1/4	"	" 83 1/2		1,500
Sold 2000	" 83 1/2	"	" 73 1/2		20,000
Bought 2000	" 73 1/2	"	" 72-5/8	1,750	
Sold 2000	" 72-5/8	"	" 74	3,750	
Bought 2000	" 74-1/2	"	" 80		11,000
Sold 2000	" 80	"	" 79-5/8		750
Bought 2000	" 79-5/8	"	" 82-3/4		6,250
Sold 2000	" 82-3/4	"	" 84-1/2	3,500	
Bought 2000	" 84-1/2	"	"101-5/8		24,250
Bought 1000	" 89-1/2	"	"101-5/8		12,125
Bought 500	" 94-1/2	"	"101-5/8		3,562.50
Bought 300	" 99-1/2	"	"101-5/8		637.50
				$17,000	$695,991.00
			Commissions	5,950	22,950.00
			Net Profit		$673,041.00

June, 1922 sold short 2000 at 101-5/8. June 12th and 16th low 96 3/4. We make stop 99 3/4. Stop caught. We buy 2000 at 99 3/4. Buy 1000 more at 104. September 11th high 106 1/2. September 14th low 104 1/2. We make stop 103 1/2. Stop caught. We go short 2000 at 103 1/2. September 27th and 29th low 100 3/4. September high 102 1/2. We make stop 103 1/2. Stop caught. We buy 2000 at 103 1/2. Buy 1000 at 107. October 16th high 111 1/2. We make stop 108 1/2. Stop caught. We go short 2000 at 108 1/2. November 1st low 103 1/4. Make stop 106 1/4. Stop caught. We buy 2000 at 106 1/4.

November 9th high 110 3/4. Make stop 107 3/4. Stop caught. We sell 2000 at 107 3/4. November 28th low 99 3/4. December 2nd high 103 1/2. We make stop 104 1/2 and buy 2000 at 104 1/2. December 26th low 106 1/2. Make stop 105 1/4. Stop caught. We go short 2000 at 105 1/4.

1923

January 31st low 104. Make stop 107. Stop caught. We buy 2000 at 107. March 21st high 109 1/2. March 17th low 107 1/2. We make stop 106 1/2. Stop caught. We go short 2000 at 106 1/2.

The statement below covers trades from June, 1922 to March, 1923:

				DEBIT	CREDIT
		June, 1922			$673,041
Sold 2000	at 101-5/8	closed at	99-3/4		3,750
Bought 2000	" 99-3/4	" "	103½		7,500
Bought 1000	" 104	" "	103½	$500	
Sold 2000	" 103⅝	" "	103⅝	--	--
Bought 2000	" 103½	" "	108½		10,000
Bought 1000	" 107	" "	108½		1,500
Sold 2000	" 108¼	" "	106¼		4,500
Bought 2000	" 106¼	" "	107⅝		3,000
Sold 2000	" 107⅝	" "	104½		6,500
Bought 2000	" 104½	" "	105¼		1,500
Sold 2000	" 105¼	" "	107	3,500	
Bought 2000	" 107	" "	106½	1,000	
				$5,000	$711,291
		Commissions		5,500	10,500
		Total Profit			$700,791

Sold 2000 at 106½
Sell 1000 " 103
Sell 500 " 98
Sell 300 " 93

June 30th, July 5th, 11th and 17th made lows at 89½ to 89¼, and on July 14th high 91½. We make stop on all trades at 92½. Stop caught and we buy 2000 at 92½. July 23rd high 92¾. July 21st low 91½. We make stop 90½. Stop caught. We sell short 2000 at 90½. July 31st low 85-3/8. August 2nd high 88⅜. We make stop 89½. Stop caught. We buy 2000 at 89½. August 30th high 94. August 8th low 92. Make stop 91. Stop caught. We go short 2000 at 91. September 25th low 85-5/8, same low as July 31st. We cover shorts at 86½ and buy 2000 at 86½, with stop 84½. We buy 1000 at 90. November 9th low 94. We make stop 93. Stop caught. We sell 2000 at 93. November 17th low 91-7/8. We make stop 94-7/8 and buy 2000 at 94-7/8. Buy 1000 at 98 and 500 at 103.

1924

February 7th high 109. February 8th low 106½. We make stop 105½. Stop caught. We go short 2000 at 106½. Sell 1000 at 101½. March 29th low 97. We figure low of 85-3/8 to high 109 and find 1/2 point 97. We cover shorts at 97½ and buy 2000 at 97½, stop 96. Stop is caught and we go short 2000 at 96.

The statement below covers trades from March, 1923 to April, 1924:

						DEBIT	CREDIT
			March, 1923				$700,791
Sold	2000	at 106½	closed	at	92⅝		28,000
Sold	1000	" 103	"	"	92½		10,500
Sold	500	" 98	"	"	92½		2,750
Sold	300	" 93	"	"	92⅝		150
Bought	2000	" 92⅝	"	"	91⅝	$2,000	
Sold	2000	" 90⅝	"	"	89⅞		2,000
Bought	2000	" 89⅝	"	"	91	3,000	
Sold	2000	" 91	"	"	86½		9,000
Bought	2000	" 86½	"	"	93		13,000
Bought	1000	" 90	"	"	93		3,000
Sold	2000	" 93	"	"	94-7/8	3,750	
Bought	2000	" 94-7/8	"	"	105-1/2		21,250
Bought	1000	" 98	"	"	105-1/2		7,500
Bought	500	" 103	"	"	105-1/2		1,250
Sold	2000	" 106-1/2	"	"	97-1/2		18,000
Sold	1000	" 101-1/2	"	"	97-1/2		4,000
Bought	2000	" 97-1/2	"	"	96	3,000	
						$11,750	$821,191
				Commissions		6,325	18,075
				Net Profit			$803,116

Sold 2000 at 96. April 10th, 15th and 22nd low 95½. We make stop 98½. Stop caught. We buy 2000 at 98½. April 26th high 101. We raise stop to 98. Stop caught. We go short 2000 at 98. June 6th low 94-1/8. We make stop 97-1/8. Stop caught. We buy 2000 at 97-1/8 buy 1000 at 102 and 500 at 107. August 20th high 111⅝. We raise stop to 108⅝. Stop caught. We go short 2000 at 108⅝. September 8th low 105¼. We make stop 108¼. Stop caught. We buy 2000 at 108¼. September 25th low 108¼. We raise stop to 107¼. Stop caught. We go short 2000 at 107¼. October 14th low 104⅝. October 18th high 107¼. We make stop 108¼. Stop caught. We buy 2000 at 108-1/8. Buy 1000 at 112. November 26th high 119¼. December 2nd low 116. We raise stop to 115 and buy 500 at 117. Buy 300 at 122.

1925

January 23rd high 129½. January 28th low 125¾. We make stop 124¾. Stop caught and we go short 2000 at 124¾. February 19th low 122. We sell 1000 at 121 and 500 at 116. March 30th low 112¼. April 8th high 115¼. We make stop 116¼. Stop caught.

The statement below covers trades from April, 1924 to April, 1925:

					DEBIT	CREDIT
			April, 1924			$803,116
Sold	2000	at 96	closed	at 98½	$5,000	
Bought	2000	" 98¼	"	" 98	1,000	
Sold	2000	" 98	"	" 98-1/8		1,750
Bought	2000	" 98-1/8	"	" 108¾		23,250
Bought	1000	" 102	"	" 108⅝		6,750
Bought	500	" 107	"	" 108¾		875
Sold	2000	" 108¾	"	" 108¼		1,000
Bought	2000	" 108¼	"	" 108¼	2,000	
Sold	2000	" 107¼	"	" 108¼	2,000	
Bought	2000	" 108-1/8	"	" 124¾		33,250
Bought	1000	" 112	"	" 124¾		12,750
Bought	500	" 117	"	" 124¾		3,875
Bought	300	" 122	"	" 124¾		825
Sold	2000	" 124¾	"	" 116¼		17,000
Sold	1000	" 121	"	" 116¼		4,750
Sold	500	" 116	"	" 116¼	125	
					$10,125	$909,191
				Commissions	5,700	15,825
				Net Profit		$893,366

We buy 2000 at 116¼. April 18th high 118¼, Raise stop to 115¼. Stop caught. We go short 2000 at 115¼. April 30th low 112¾. We make stop 115¾. Stop caught. We buy 2000 at 115¾. April 21st high 120¼. Raise stop to 117¼. Stop caught. We go short 2000 at 117¼. June 5th low 113½. June 8th high 114½. We make stop 115½. Stop caught. We buy 2000 at 115½. June 15th high 117¼. June 18th low 115¾. Make stop 114¾. Stop caught. We go short 2000 at 115¾. June 29th low 113¼. Make stop 116¼. Stop caught. We buy 2000 at 116¼ and 1000 at 121. August 26th high 125-7/8. We raise stop to 122-7/8. Stop caught. We go short 2000 at 112-7/8. September 3rd low 118¼. Make stop 121¼. Stop caught. We buy 2000 at 121¼. September 15th high 125-7/8. Make stop 122-5/8. Stop caught. We go short 2000 at 122-5/8. September 28th low 118½. We figure from low 112¼ March 30th to high 125-7/8 August 26th and find 1/2 point 119, so we cover shorts and

Buy 2000 at 119¼ with stop 118
" 1000 " 124¼
" 500 " 127
" 300 " 132
" 200 " 137

November 7th high 139-3/8. We raise stop to 136-3/8. Stop caught. We go short 2000 at 136-3/8. Sold 1000 more at 131-3/8. November 10th low 128. Make stop 131. Stop caught. We buy 2000 at 131, November 14th high 138⅜. We make stop 135½. Stop caught. We go short 2000 at 135-1/2. November 24th low 126-5/8. We make stop 129-5/8. Stop caught. We buy 2000 at 129-5/8. December 8th high 137¼. Make stop 134¼. Stop caught. We go short 2000 at 134¼. December 22nd low 131¾. Make stop 134¾. Stop caught. We buy 2000 at 134¾.

1926

January 4th high 138½. We make stop 135½. Stop caught. We go short 2000 at 135½. Later sell 1000 at 131 and 500 at 127. March 2nd low 120. Make stop 123. Stop caught.

The statement below covers trades from April, 1925 to March 5, 1926:

				DEBIT	CREDIT
Balance brought forward April, 1925					$893,366
Bought 2000 at	116¼	closed at	115½	$2,000	
Sold 2000 "	115¼	" "	115¾	1,000	
Bought 2000 "	115¾	" "	117¼		3,000
Sold 2000 "	117¼	" "	115½		3,500
Bought 2000 "	115½	" "	114¾	1,500	
Sold 2000 "	115¾	" "	116¼	1,000	
Bought 2000 "	116¼	" "	122-7/8		13,250
Sold 2000 "	122-7/8	" "	121¼		3,250
Bought 2000 "	121¼	" "	122-5/8		2,750
Sold 2000 "	122-5/8	" "	119		7,250
Bought 2000 "	119¼	" "	136-3/8		34,250
Bought 1000 "	124¼	" "	136-3/8		12,125
Bought 500 "	127	" "	136-3/8		4,687.50
Bought 300 "	132	" "	136-3/8		1,311.50
Bought 200 "	137	" "	136-3/8	125	
Sold 2000 "	136-3/8	" "	131		10,750.
Bought 2000 "	131	" "	135½		9,000
Sold 2000 "	135½	" "	129-5/8		11,750
Bought 2000 "	129-5/8	" "	134¼		9,250
Sold 1000 "	134¼	" "	134¾	500	
Bought 2000 "	134¾	" "	135½		1,500
Sold 2000 "	135½	" "	123		25,000
Sold 1000 "	131	" "	123		8,000
Sold 500 "	127	" "	123		2,000
				$6,125	$1,055,990.00
		Commissions		9,625	15,750.00
		Net Profit			$1,040,240.00

We bought 2000 at 123. March 16th high 128-1/8. We make stop 125-1/8. The stop was caught. We go short 2000 at 125-1/8. March 30th low 117-5/8. Make stop 120-5/8. Stop caught. We buy 2000 at 120-5/8. April 6th high 123½. Make stop 120½. Stop caught We go short 2000 at 120½. April 15th low 117. Make stop 120. Stop caught. We buy 2000 at 120. April 29th high 124-5/8. We make stop 121-5/8. Stop caught. We go short 2000 at 121-5/8. May 17th low 118-1/8. Make stop 121-1/8. Stop caught. We buy 2000 at 121-1/8. Later we buy 1000 at 126-1/8 and buy 500 at 131 and buy 300 at 136 and 200 at 141. July 11th high 144-7/8. Make stop on all trades 141-7/8. Stop caught, and we sell short 2000 at 141-7/8. July 24th low 137¼. July 23 high 140½. We make stop at 141½. Stop caught. We buy 2000 at 141½. Later we buy 1000 at 145½, and 500 at 150. August 9th high 155¼. We raise stop to 152¼. Stop caught, and we go short 2000 at 152¼. August 12th low 147½. We make stop 150½. Stop caught, and we buy 2000 at 150½ . Later we buy 1000 at 155. August 17th high 159½. We raise stop to 156½. Stop caught. We go short 2000 at 156½. August 20th low 148½. We make stop 151½. Stop caught. We buy 200 at 151½.

August 24th high 153. We make stop 150. Stop caught. We go short 2000 at 150. August 25th low 147-5/8. We make stop 150-5/8. Stop caught. We buy 2000 at 150-5/8. September 8th high 152¾. We make stop 149¾. Stop caught. We go short 2000 at 149¾. September 20th low 142¼. We make stop 145¼. Stop caught and we buy 2000 at 145¼. Later we buy 1000 at 150.

October 2nd high 154¾. Raise stop to 151¾. Stop caught. We go short 2000 at 151¾. We sell 1000 at 147 and sell 500 at 142 and 300 at 140. October 20th low 133¾. We make stop 136¾. Stop caught. We buy 2000 at 136¾, and later buy 1000 at 141¾ and buy 500 at 146¾. November 16th high 153½. We make stop 150½. Stop caught. We go short 2000 at 150½.

November 19th low 143½. We make stop 146½. Stop caught. We buy 2000 at 146½ and later buy 1000 at 151½ and 500 at 156½. December 17th and 27th high 160½. We sell out at 160 and go short 2000 at 160, because 159½ was high on August 17th. We place a stop at 162½.

1927

January 4th and 7th low 154. January 5th high 156½. We make stop 157½. Stop caught. We buy 2000 at 157½. January 13th high 159¼. We raise stop to 156¼. Stop caught. We sell 2000 short at 156¼. January 27th low 153½. We make stop 156½. Stop caught. We buy 2000 at 156½. February 24th high 162½. We make stop 159½. Stop caught. We go short 2000 at 159½. March 5th and 8th low 156½. March 7th high 157¾. We make stop 158¾. Stop caught.

The statement below covers trades from March 5, 1926 to March 10, 1927

	DEBIT	CREDIT
Balance brought forward March 5, 1926		$1,040,240
	Carried	Forward

Brought Forward...$1,040,240

						DEBIT	CREDIT
Bought	2000	at	123	closed at	125-1/8		$ 4,250.00
Sold	2000	"	125-1/8	" "	120-5/8		11,000.00
Bought	1000	"	120-5/8	" "	120-1/2	$ 125	
Sold	2000	"	120½	" "	120		1,000.00
Bought	2000	"	120	" "	121-5/8		3,250.00
Sold	2000	"	121-5/8	" "	121-1/8		1,000.00
Bought	2000	"	121-1/8	" "	141-7/8		41,500.00
Bought	1000	"	126-1/8	" "	141-7/8		15,750.00
Bought	500	"	131	" "	141-7/8		5,437.50
Bought	300	"	136	" "	141-7/8		1,762.50
Bought	200	"	141	" "	141-7/8		175.00
Sold	2000	"	141-7/8	" "	141-1/2		750.00
Bought	2000	"	141-1/2	" "	152-1/4		21,500.00
Bought	1000	"	145-1/2	" "	152-1/4		6,750.00
Bought	500	"	150	" "	152-1/4		1,125.00
Sold	2000	"	152-1/4	" "	150-1/2		3,500.00
Bought	2000	"	150-1/2	" "	150	1,000	
Sold	2000	"	150	" "	150-5/8	1,250	
Bought	2000	"	150-5/8	" "	149-3/4	1,750	
Sold	2000	"	149-3/4	" "	145-1/4		9,000.00
Bought	2000	"	145-1/4	" "	151-3/4		13,000.00
Bought	1000	"	150	" "	151-3/4		1,750.00
Sold	2000	"	151-3/4	" "	136-3/4		30,000.00
Sold	1000	"	147	" "	136-3/4		10,250.00
Sold	500	"	142	" "	136-3/4		2,625.00
Sold	300	"	140	" "	136-3/4		975.00
Bought	2000	"	136-3/4	" "	150-1/2		27,500.00
Bought	1000	"	141-3/4	" "	150-1/2		8,750.00
Bought	500	"	146-3/4	" "	150-1/2		3,875.00
Sold	2000	"	150-1/2	" "	146-1/2		8,000.00
Bought	2000	"	146-1/2	" "	160		27,000.00
Bought	1000	"	151-1/2	" "	160		8,500.00
Bought	500	"	156-1/2	" "	160		2,250.00
Sold	2000	"	160	" "	157-1/2		5,000.00
Bought	2000	"	157-1/2	" "	156-1/4	2,500	
Sold	2000	"	156-1/4	" "	156-1/2	500	
Bought	2000	"	156-1/2	" "	159-1/2		6,000.00
Sold	2000	"	159-1/2	" "	158-3/4		1,500.00
						$7,125	$1,324,965.00
				Commissions		14,075	21,200.00
				Net Profits			$1,303,765.00

We buy 2000 at 158-3/4. Later we buy 1000 at 163 and 500 at 168. April 11th and 16th, high 172-3/4. We make stop 169-3/4. Stop caught. We go short 2000 at 169-3/4. May 2nd low 164-1/2. We make stop 167-1/2. Stop caught. We discontinue trading in the

old stock.

May 9th, we buy 2000 of new stock at 121½. June 1st high 125¾. June 4th low 123. We make stop 122. The stop was caught. We go short 2000 at 122. June 30th low 118-7/8. June 25th last high 121½. We make stop 122½. The stop was caught and we buy 2000 at 122½. Later we buy 1000 at 127 and 500 at 132. August 2nd high 138-3/8. August 1st low 134-5/8. We raise stop to 133-5/8. Stop was caught, and we sell 2000 short at 133-5/8. August 12th low 129¾. We make stop 132¼. Stop was caught and we buy 2000 at 132¼ and later buy 1000 at 136,500 at 141, 300 at 145, 200 at 150 and 100 at 155.

September 16th high 160½. We make stop on all trades 157½. The stop was caught, and we go short 2000 at 157½. Later sell 1000 at 152½ and 500 at 147½. September 29th low 145½. We make stop 148½. Stop caught. We buy 2000 at 148½. October 4th high 154-5/8. We make stop 151-5/8. Stop was caught and we go short 2000 at 151-5/8 and later sell 1000 at 146-5/8, sell 500 at 141-5/8, 300 at 136-5/8 and 200 at 131-5/8. October 29th low 128-5/8. We make stops on all trades 131-5/8. Stops caught.

We buy 2000 at 131-5/8 and later we buy 1000 at 136-5/8 and 500 at 141-5/8. November 29th high 147-5/8. Same day low 144-5/8. We make stop 143-5/8. Stop was caught, and we go short 2000 at 143-5/8. December 9th low 138. We make stop 141. Stop caught. We buy 2000 at 141 and later buy 1000 at 145 and 500 at 150. December 24th high 155. We make stop 152. Stop was caught, and we sell short 2000 at 152 and later sell 500 at 147 and 300 at 142. On March 2, 1928 low 137½, just 1/2 point under low of December 9th. We could have covered shorts at 138 and bought with stop at 137, which would not have been caught, but we reduce stop to 140½, because the last three tops were at 140¼. The stop was caught.

The following statement covers trades from March 10,1927 to March, 1928:

				DEBIT	CREDIT
Balance brought forward March 10, 1927					$1,313,765
Bought 2000 at 158¾	closed at	169¾			22,000
Bought 1000 " 163	" "	169¾			6,750
Bought 500 " 168	" "	169¾			875
Sold 2000 " 169¾	" "	167½			4,500
NEW STOCK					
Bought 2000 at 121½	closed at	122			1,000
Sold 2000 " 122	" "	122½		$1,000	
Bought 2000 " 122½	" "	133-5/8			22,250
Bought 1000 " 127	" "	133-5/8			6,625
Bought 500 " 132	" "	133-5/8			812.50
Sold 2000 " 133-5/8	" "	132¼			2,750
Bought 2000 " 132¼	" "	157½			50,500

				DEBIT	CREDIT
Bought 1000 at 136	closed at 157½				$21,500
Bought 500 " 131	" " 157½				13,250
Bought 300 " 145	" " 157½				3,750
Bought 200 " 150	" " 157½				1,500
Bought 100 " 155	" " 157½				250
Sold 2000 " 157½	" " 148½				18,000
Sold 1000 " 152 ½	" " 148½				4,000
Sold 500 " 147½	" " 148½			500	
Bought 2000 " 148⅝	" " 151-5/8				6,250
Sold 2000 " 151-5/8	" " 131-5/8				40,000
Sold 1000 " 146-5/8	" " 131-5/8				15,000
Sold 500 " 141-5/8	" " 131-5/8				5,000
Sold 300 " 136-5/8	" " 131-5/8				1,500
Sold 200 " 131-5/8	" " 131-5/8			--	--
Bought 2000 " 131-5/8	" " 143-5/8			--	24,000
Bought 1000 " 136-5/8	" " 143-5/8				7,000
Bought 500 " 141-5/8	" " 143-5/8				1,000
Sold 2000 " 143-5/8	" " 141				5,250
Bought 2000 " 141	" " 152				22,000
Bought 1000 " 145	" " 152				7,000
Bought 500 " 150	" " 152				1,000
Sold 2000 " 152	" " 140½				23,000
Sold 500 " 147	" " 140⅝				3,250
Sold 300 " 142	" " 140⅜				450
				$1,500	$1,645,777.50
		Commissions		10,100	11,600.00
		Net Credit			$1,634,177.50

1928

We buy 2000 at 140½ and later buy 1000 at 144⅜ and 500 at 149½. March 22nd and 26th high 152. We raise stop to 149. Stop caught, and we sell short 2000 at 149, April 2nd and 11th low 145, same low as March 14th and 20th. We reduce stop to 148, although could have covered against double bottom. Stop caught. We buy 2000 at 148. April 12th high 154. We raise stop to 151. Stop was caught, and we sell short 2000 at 151. April 24th low 143¾. April 27th high 147. We make stop 148. Stop caught. We buy 2000 at 148. May 11th high 150¾. We make stop at 147¾. The stop was caught, and we go short 2000 at 147¾, and later sell 1000 at 142¾ and 500 at 137¾. June 11th low 132-5/8. Last low June 21st at 136¼. We make stop 137¼. Stop was caught, and we buy 2000 at 137¼. July 9th high 142. We make stop 139. Stop caught, and we go short 2000 at 139. July 17th low 134. We make stop 137. The stop was caught.

We buy 2000 at 137 and later buy 1000 at 142, 500 at 147 and 300 at 152. September 17th high 160-3/8. We make stop 157-3/8. Stop was caught, and we sell short 2000 at 157-3/8. September 21st low 155. We make stop 158. The stop was caught, and we buy 2000 at 158. Later buy 1000 at 162. October 15th high 166. We make stop

163. Stop caught. We go short 2000 at 163. October 26th low 159-1/8. We make stop 162-1/8. Stop was caught, and we buy 2000 at 162-1/8 and later buy 1000 at 167. November 16th high 172½ and we make stop 169½. Stop was caught and we go short 2 000 at 169½. Later sell 1000 at 164½, 500 at 159½ and 300 at 154½. December 17th low 149⅝ and December 8th low was 150¼. Also note August 23rd and 28th lows were 149¼ and 150½. These bottoms give us an indication to cover shorts around 150 and buy; besides from the last low of 132-3/8 on June 25th to the high 172½ on November 16th made 1/2 point at 152½ and 3 point stop was never caught. After low of 119¾ on December 17th, we made stop 152⅝. Stop was caught, and we buy 2000 at 152⅝. Later buy 1000 at 157¼, 500 at 162¾, 300 at 167¾, 200 at 172⅝ and 100 at 177⅝.

1929

On January 22, 1929, high 190½. We make stop 187¼. Stop caught. We go short 2000 at 187¼. January 24th low 183½. We make stop 187½. Stop caught. We buy 2000 at 187½. January 25th high 192 ¾. We make stop 189¾. Stop was caught, and we sell 2000 at 189¾. January 30th low 179½. We make stop 182½. Stop was caught. We buy 2000 at 182½. February 2nd high 188. Make stop 185. Stop caught. We go short 2000 at 185, and later sell 1000 at 180. February 8th low 171-1/8. Make stop 174-1/8. Stop caught. We buy 2000 at 174-1/8. February 13th high 180. We make stop 177. Stop caught. We sell 2000 at 177 and later sell 1000 at 172. February 16th low 168¼. We make stop 171¼. Stop was caught, and we buy 2000 at 171¼. Later we buy 1000 at 176¼, 500 at 181¼, 300 at 186¼ and 300 at 190¼. March 1st high 193¾. We make stop at 190¾. Stop caught.

We go short 2000 at 190¾ and sell 1000 at 185¾. March 6th low 180½. We make stop 183½. Stop was caught and we buy 2000 at 183½. March 8th high 187¼. We make stop 184¼. Stop was caught, and we go short 2000 at 184¼. March 11th low 180½, same low as March 6th. We make stop 183½. Stop was caught and we buy 2000 at 184¼. March 28th high 183¾. Make stop 180¾. Stop caught.

We go short 2000 at 180⅝. April 1st low 176¼. We make stop 179¼. Stop caught. We buy 2,000 at 179¼ and later buy 1000 at 184¼. April 5th high 189. We make stop 186. Stop caught. We go short 2000 at 186. April 9th and 17th low 183¾. Make stop 186¾. Stop caught. We buy 2000 at 186¾. April 30th high 190½. We make stop 187½. Stop caught. We go short 2000 at 187½. Later sell 1000 at 182½, 500 at 177½, 300 at 172½ and 200 at 167½. May 31st low 162½. We make stop 165½ . Stop was caught, and we buy 2000 at 165½. Later buy 1000 at 170½, 500 at 175½, 300 at 180½, 200 at 185½, 100 at 190½.

In the early part of July, the stock crosses 194, the highest in history, and not having broken an overnight bottom since the low of 162½ shows strong up trend. As we have 30 points' profit in the first purchase at 165½, we start a new pyramid and buy 2000 more at 195½. Buy 1000 at 200½. July 11th low 197½. We raise stop on

all purchases to 196½. The advance continues, and we buy 1000 more at 205½. July 20th and 24th high 209¾ and 210. July 22nd, 24th and 29th made lows at 204½. We raise stops on all trades to 203½. Stops were not caught. We buy 500 more at 210½, 300 at 215½, 200 at 220½, and 100 at 225½. August 9th, the last low was 213½. We raise stops on all trades to 212½. The advance continues with no change in trend on the Overnight Chart. August 14th high 245. August 15th low 235-5/8. We raise stop on all trades to 234-5/8. August 19th low 237-5/8. We raise all stops to 236-5/8.

The rule to follow when you have big profits on a double pyramid is, do no guessing; wait until the Overnight Chart closes your trades by catching a stop one point under a previous low or follow up with a stop 10 points under each day's high level. This rule is to be applied only in active fast markets. For example, from August 14th high to August 15th low there was decline of 9-3/8 points. Therefore, 10 points from the next extreme high level would indicate that the trend was getting ready to turn down.

August 24th high 260½. August 29th low 251½, just 9 points' decline, and would not catch a 10 point stop. We raise all stops to 250½. September 3rd high 2 61¾, and a stop 10 points down would be 251¾. We sell out all long stock at 251¾.

The following statement covers all trades from March, 1928 to Sept. 5, 1929:

						DEBIT	CREDIT
March, 1928	balance brought forward						$1,634,177.50
Bought	2000	at	140½	closed	at 149		17,000
Bought	1000	"	144½	"	" 149		4,500
Bought	500	"	149½	"	" 149	250	
Sold	2000	"	149	"	" 148		2,000
Bought	2000	"	148	"	" 141	14,000	
Sold	2000	"	141	"	" 148	14,000	
Bought	2000	"	148	"	" 147⅝	500	
Sold	2000	"	147¾	"	" 137¼		21,000
Sold	1000	"	142¾	"	" 137¼		5,500
Sold	500	"	137¾	"	" 137¼		250
Bought	2000	"	137¼	"	" 139		3,500
Sold	2000	"	139	"	" 137		4,000
Bought	2000	"	137	"	" 157-3/8		40,750
Bought	1000	"	142	"	" 157-3/8		15,375
Bought	500	"	147	"	" 157-3/8		5,187.50
Bought	300	"	152	"	" 157-3/8		1,612.50
Sold	2000	"	157-3/8	"	" 158	1,250	
Bought	2000	"	158	"	" 163		10,000.
Bought	1000	"	162	"	" 163		1,000
Sold	2000	"	163	"	" 162-1/8		1,750
Bought	2000	"	162-1/8	"	" 169½		14,750
Bought	1000	"	167	"	" 169½		2,500
Sold	2000	"	169½	"	" 152⅝		33,500

		DEBIT	CREDIT
Sold 1000 at 164½	closed at 152¾		11,750
Sold 500 " 159¾	" " 152¾		3,375
Sold 300 " 154¾	" " 152¾		525
Bought 2000" 152¾	" " 187¼		69,000
Bought 1000 " 157¾	" " 187¼		29,500
Bought 500 " 162¾	" " 187¼		12,250
Bought 300 " 167¾	" " 187¼		5,850
Bought 200 " 172¾	" " 187¼		2,900
Bought 100 " 177¾	" " 187¼		950
Sold 2000 " 187¼	" " 187½	500	
Bought 2000 " 187¼	" " 189¾		4,500
Sold 2000 " 189¾	" " 182½		24,500
Bought 2000 " 182½	" " 185		5,000
Sold 2000 " 185	" " 174¼		21,500
Sold 1000 " 180	" " 174¼		5,750
Bought 2000 " 174-1/8	" " 177		5,750
Sold 2000 " 177	" " 171¼		11,500
Sold 1000 " 172	" " 171¼		750
Bought 2000 " 171¼	" " 190¾		39,000
" 1000 " 176¼	" " 190¾		14,500
" 500 " 181¼	" " 190¾		4,750
" 300 " 186¼	" " 190¾		1,350
" 300 " 191¼	" " 190¾	150	
Sold 2000 " 190¾	" " 183½		14,500
" 1000 " 185¼	" " 183½		2,250
Bought 2000 " 183½	" " 184¼		1,500
Sold 2000 " 184¼	" " 183½		1,500
Bought 2000" 183½	" " 187¼		8,500
" 1000" 188½	" " 187¾	750	
Sold 2000" 187¾	" " 174½		26,500
Sold 1000" 182¾	" " 174½		8,250
Sold 500" 177¾	" " 174½		1,750
" 300" 172¾	" " 174½	525	
Bought 2000" 174½	" " 180¾		12,500
Sold 2000" 180¼	" " 179¼		2,500
Bought 2000" 179¼	" " 186		13,500
" 2000" 184¼	" " 186		1,750
Sold 2000 "186	" " 186¾	1,500	
Bought 2000" 186¾	" " 187½		1,500
Sold 2000" 187½	" " 165½		4,400
" 1000" 182½	" " 165½		17,000
" 500" 177½	" " 165½		6,000
" 300" 172½	" " 165½		2,100
" 200" 167½	" " 165½		400
Bought 2000" 165½	" " 251¾		172,500
" 1000" 170½	" " 251¾		81,500
" 500" 175½	" " 251¾		38,125
" 300" 180½	" " 251¾		21,375
" 200" 185½	" " 251¾		13,250
" 100" 190½	" " 251¾		6,150
" 2000" 195½	" " 251¾		113,500
" 1000" 200½	" " 251¾		51,250
" 1000" 205½	" " 251¾		46,250
" 500" 210½	" " 251¾		20,625
" 300" 215½	" " 251¾		10,875

		DEBITS	CREDITS
Bought 200 at 220½	closed at 251¾		6,250
Bought 100 " 225⅛	" " 251¼		2,525
		$33,425	$2,833,577.50
	Commissions	24,700	58,125.00
	Net Credit		$2,775,452.50

Now that we have a total capital of $2,775,452.50, we can be ultra conservative and increase trading unit to 5000 shares. We sell 5000 short at 251¾. September 5th low 245¾. We make stop 248¾. Stop was caught, and we buy 5000 at 248¾. August 7th high 252½. We make stop 249½. Stop was caught, and we sell short 5000 at 249½. Later we sell 3000 at 244½ and 2000 at 239½. September 10th low 238. September 11th high 243¼. We make stop on all trades 244¼. September 13th and 15th low 230½. We reduce stop to 233½. Stop caught. We buy 5000 at 233½, with stop 229½ and then buy 3000 at 238½ and 2000 at 243½. September 19th high 247½. We raise all stops to 244½. Stops caught. We go short 5000 at 244½ and 3000 at 239½. September 21st low 232. We make stops at 235. Stops caught.

We buy 5000 at 235 and 3000 at 240. September 24th high 241¾. We make stop at 238¾. Stops caught. We go short 5000 at 238¾ and later sell 3000 at 233¾, 2000 at 228¾, 1000 at 223¾, 500 at 218¾, 300 at 213¾ and 200 at 208¾. October 4th low 206½. We figure from the low of 149¾ in December, 1928 to the high of 261¾ and get 1/2 point at 205¾, but we are in a panic, so we follow down with stop 3 points above the low or at 209½. Stop is caught, and we buy 5000 at 209½ and later buy 3000 at 214½, 2000 at 219½, 1000 at 22 and 500 at 229½. October 10th high 234, same high as September 26th. We figure from 261¾ high to 206½ low and get 234-1/8, the 1/2 point. We sell out at 233 and go short 5000 with stop 235-1/8. Then sell 3000 at 230-1/8, 2000 at 225-1/8, 1000 at 220-1/8, 500 at 215-1/8, and 300 at 210-1/8. December 21st low 205, just under the 1/2 point. Also note July 22nd, 24th and 29th lows, 204½, showing a strong resistance point, where we should cover shorts, but we reduce stops to 208. Stop caught. We buy 5000 at 208 and later buy 3000 at 213 and 2000 at 218. October 22nd high 218½. We raise all stops to 215½. Stops caught.

We go short 5000 at 215½. Later sell 3000 at 210½ and 2000 at 204, when 1/2 point and bottoms are broken, and sell 1000 at 199, and 500 at 194. October 24th low 193½. As this is a panic day, we pull stops down 5 points from the low. This covers shorts at 198½, and we buy 5000 at 198½. October 25th high 207. We know the 1/2 point is 205¾, so we sell out at 205 and go short 5000 at 205 with stop at 208. Later we sell 3000 at 2 00, 2000 at 195, 1000 at 190, 500 at 185, 300 at 180, 200 at 175 and 100 at 170. October 29th, the great panic, Steel declines to 166½. We must cover or follow down with stop 5 points from the low, so stop at 171½ is caught, and

we buy 5000 at 171½, 3000 at 176½ and 2000 at 181½. October 31st high 193⅜. We raise stop to 188½. Stop caught. We go short 5000 at 188⅜. Then sell 3000 at 183½, 2000 at 178½, 1000 at 173½, and 500 at 168½. November 7th low 161½. We reduce stop to 166½. Stop caught. We buy 5000 at 166½ and we buy 3000 at 171½. November 8th high 175½. We make all stops 170½. Stops caught. We go short 5000 at 170½. Then sell 3000 at 165½, 2000 at 160½ and 1000 at 155½.

Here we figure from low 38, February 1, 1915, to high 261¾. and find 1/2 point 149-7/8. We also know the move started from 149¾ on December 17, 1928. Therefore, 150 is the strongest support level. On November 13th U. S Steel sells at 150, but we do not wait for the last 1/8th. We cover all shorts at 151 and buy 5000 with stop at 148¾. Later we buy 3000 at 156 and 2000 at 161. November 15th high 167½. We make stop 164⅜. Stop is caught, and we go short 5000 at 164⅜. December 18th low 159-5/8. We make stop 162-5/8. Stop caught. We buy 5000 at 162-5/8. Then buy 3000 at 167-5/8. November 21st high 171-7/8. We make stop 168-7/8. Stop caught. We go short 5000 at 168-7/8. Then sell 3000 at 163-7/8. December 2nd low 159¼, only 3/8 under low of November 18th. We make stop 162¼. Stop caught. We buy 5000 at 162¼ and later buy 3000 at 167¼. December 5th low 164⅜. We make all stops 163½. Later we buy 2000 at 172¼, 1000 at 177¼, 500 at 182¼ and 300 at 187¼. December 9th high 189. We make stop 186. Stop caught. We go short 5000 at 186. Then sell 3000 at 181, 2000 at 176, 1000 at 171, and 500 at 166. December 13th low 164¼, same low as December 5th. We make stop 167¼. Stops caught. We buy 5000 at 167¼. Then buy 3000 at 172¼. December 14th high 174¾. We make stop 171¾. Stops caught.

We sell 5000 at 171¾. Later sell 3000 at 166¾. December 17th low 166¼. We make stop 169¼. Stops caught. We buy 5000 at 169¼. December 18th high 173½. We make stop 170½. Stop caught. We sell short 5000 at 170½. Later sell 3000 at 165½. Sell 2000 at 160¼. December 23rd low 156¾. We make stop 159¼. Stop caught. We buy 5000 at 159¾. Later we buy 3000 at 163¾. December 29th low 163-5/8. We make all stops 162-5/8. Later we buy 2000 at 169-3/4.

1930

January 2nd high 173-5/8. Low same day 166. We make all stops 165. The price of 166-1/8 is the 1/2 point from 70½, low of June 23rd, 1921, and the extreme high 261¾. Therefore, a strong support and buying level. January 13th low 168-5/8. We make all stops 167-5/8, because since January 2nd the Overnight Chart has made lower tops. January 18th low 167¼. Stops are caught at 167-5/8, and we go short 5000 at 167-5/8, with stop at 170-5/8. Stop caught, and we buy 5000 at 170-5/8. We buy 3000 at 175-5/8, 2000 at 180-5/8 and 1000 at 185-5/8. February 14th high 189, same as December 9th high. February 17th low 184½. We make all stops 183½. February 18th high 189½. We raise stop to 186½. Stops caught. We go short 5000 at 186½ with stop 190. Later we sell 3000 at 181½. February 25th low 177. We make all stops 180. Stops caught. We buy 5000 at 180. March 1st and 7th high 184. We make stop 181. Stop caught

The following statement covers trades from September, 1929 to March 1930:-

						DEBIT	CREDIT
				September, 1929			$2,775,452.50
Sold	5000	at	251-3/4	closed at	248-3/4		15,000
Bought	5000	"	248-3/4	"	" 249½		3,750
Sold	5000	"	249½	"	" 233½		80,000
"	3000	"	244½	"	" 233½		33,000
"	2000	"	239½	"	" 233½		12,000
Bought	5000	"	233½	"	" 244½		55,000
"	3000	"	238½	"	" 244½		18,000
"	2000	"	243½	"	" 244½		2,000
Sold	5000	"	244½	"	" 235		47,500
"	3000	"	239½	"	" 235		13,500
Bought	5000	"	235	"	" 238-3/4		18,750
"	3000	"	240	"	" 238-3/4	$1,250	
Sold	5000	"	238-3/4	"	" 209½		146,250
"	3000	"	233-3/4	"	" 209½		72,750
"	2000	"	228-3/4	"	" 209½		38,500
"	1000	"	223-3/4	"	" 209½		14,250
"	500	"	218-3/4	"	" 209½		4,625
"	300	"	213-3/4	"	" 209½		1,275
"	200	"	208-3/4	"	" 209½	150	
Bought	5000	"	209½	"	" 233		117,500
"	3000	"	214½	"	" 233		55,500
"	2000	"	219½	"	" 233		27,000
"	1000	"	224½	"	" 233		8,500
"	500	"	229½	"	" 233		1,750
Sold	5000	"	233	"	" 208		125,000
"	3000	"	230-1/8	"	" 208		66,375
"	2000	"	225-1/8	"	" 208		34,250
"	1000	"	220-1/8	"	" 208		12,125
"	500	"	215-1/8	"	" 208		3,562.50
"	300	"	210-1/8	"	" 208		637.50
Bought	5000	"	208	"	" 215½		37,500
"	3000	"	213	"	" 215½		7,500
"	2000	"	218	"	" 215½	5,000	
Sold	5000	"	215½	"	" 198½		85,000
"	3000	"	210½	"	" 198½		36,000
"	2000	"	204	"	" 198½		11,000
"	1000	"	100	"	" 198½		500
"	500	"	194	"	" 198½	2,250	
Bought	5000	"	198½	"	" 205		32,500
Sold	5000	"	205	"	" 171½		167,500
"	3000	"	200	"	" 171½		85,500
"	2000	"	195	"	" 171½		47,000
"	1000	"	190	"	" 171½		18,500
"	500	"	185	"	" 171½		6,750
"	300	"	180	"	" 171½		2,550
"	200	"	175	"	" 171½		700
"	100	"	170	"	" 171½	150	

						DEBIT	CREDIT
Bought	5000	at	171 1/8	closed	at 188 1/2		$85,000
"	3000	"	176 1/2	"	" 188 1/2		36,000
"	2000	"	181 1/2	"	" 188 1/2		14,000
Sold	5000	"	188 1/2	"	" 166 1/2		110,000
"	3000	"	183 1/2	"	" 166 1/2		51,000
"	2000	"	178 1/2	"	" 166 1/2		24,000
"	1000	"	173 1/2	"	" 166 1/2		7,000
"	500	"	168 1/2	"	" 166 1/2		1,000
Bought	5000	"	166 1/2	"	" 170 1/2		20,000
"	3000	"	171 1/2	"	" 170 1/2	$3,000	
Sold	5000	"	170 1/2	"	" 151		97,500
"	3000	"	165 1/2	"	" 151		43,500
"	2000	"	160 1/2	"	" 151		19,000
"	1000	"	155 1/2	"	" 151		4,500
Bought	5000	"	151	"	" 164 1/2		67,500
"	3000	"	156	"	" 164 1/2		25,500
"	2000	"	161	"	" 164 1/2		7,000
Sold	5000	"	164 1/2	"	" 162-5/8		9,375
Bought	5000	"	162-5/8	"	" 168-7/8		31,250
"	3000	"	167-5/8	"	" 168-7/8		3,750
Sold	5000	"	168-7/8	"	" 162 1/4		33,125
"	3000	"	163-7/8	"	" 162 1/4		4,875
Bought	5000	"	162 1/4	"	" 186		118,750
"	3000	"	167 1/4	"	" 186		56,250
"	2000	"	172 1/4	"	" 186		27,500
"	1000	"	177 1/4	"	" 186		8,750
"	500	"	182 1/4	"	" 186		1,875
"	300	"	187 1/4	"	" 186	375	
Sold	5000	"	186	"	" 167 1/4		93,750
"	3000	"	181	"	" 167 1/4		41,250
"	2000	"	176	"	" 167 1/4		17,500
"	1000	"	171	"	" 167 1/4		3,750
"	500	"	166	"	" 167 1/4	625	
Bought	5000	"	167 1/4	"	" 171-3/4		22,500
"	3000	"	172 1/4	"	" 171-3/4	1,500	
Sold	5000	"	171-3/4	"	" 169 1/4		12,500
"	3000	"	166-3/4	"	" 169 1/4	7,500	
Bought	5000	"	169 1/4	"	" 170 1/2		6,250
Sold	5000	"	170 1/2	"	" 159-3/4		52,500
"	3000	"	165 1/2	"	" 158-3/4		17,250
"	2000	"	160 1/2	"	" 159-3/4		1,500
Bought	5000	"	159-3/4	"	" 167-5/8		39,375
"	3000	"	164-3/4	"	" 167-5/8		8,625
"	2000	"	169-3/4	"	" 167-5/8	4,250	
Sold	5000	"	167-5/8	"	" 170-5/8	15,000	
Bought	5000	"	170-5/8	"	" 186 1/2		79,375
"	3000	"	175-5/8	"	" 186 1/2		32,625
"	2000	"	180-5/8	"	" 186 1/2		11,750
"	1000	"	185-5/8	"	" 186 1/2		875
Sold	5000	"	186 1/2	"	" 180		32,500
"	3000	"	181 1/2	"	" 180		4,500
Bought	5000	"	180	"	" 181		5,000
						$41,050	$5,733,677.
We go short)				Commissions		71,175	112,225.
5000 at 181)				Net Profit			$5,621,452.

We go short 5000 at 181. March 13th low 177¾. March 11th and 14th high 182½. We make stop 183½. Stop caught. We buy 5000 at 183½. Later buy 3000 at 188½ and 2000 at 193½. April 1st, 7th 10th and 16th, highs 198¾ to 197, but extreme high 198¾. The last low on April 3rd was 192¾. We make stops at 191¾. Stops caught. We go short 5000 at 191¾. Later we sell 3000 at 186¾, 2000 at 181¾, 1000 at 176¾ and 500 at 171¾.

May 5th low 166¼. We cover shorts and buy 5000 at 167, because 166-1/8 is the 1/2 point from 1921 low to 1929 high and because low on January 2nd, 1930 was 166. We protect purchases with stop at 165. Later we buy 3000 at 172. May 6th high 175. We figure 174-3/8 the 1/2 point from 150 to 198¾. Therefore, we sell out longs at 174 and go short 5000 at 174 with stop at 176. Then sell 3000 at 169. May 8th low 165¾. We cover shorts at 166½ and buy 5000 at 166½, with stop at 165. Later we buy 3000 at 171½. May 14th high 175-3/8. We again sell out longs at 174 and go short 5000 at 174 with stop at 176. Later we sell 3000 at 169. May 20th low 166¼. We again cover shorts and buy 5000 at 166½, with stop at 165. Later buy 3000 at 171½. May 28th high 175. We sell out longs at 174 and sell 5000 short at 174 with stop at 176. Later we sell 3000 at 169.

June 7th, U. S. Steel sells at 166. We cover shorts at 166½ and buy 5000 at 166½ with stop at 165. Stop was caught same day and we go short 5000 at 165. Steel declines to 164 on June 7th. We can now make stop 167 or wait until the Overnight makes a turn, then place a stop 1 point above the top from which the Overnight Chart turns down again or follow down with a stop loss order 3 points above the low of each day.

The following statement covers trades from March, 1930 to June 7th, 1930, inclusive:-

					DEBIT	CREDIT
			Balance Forward			$5,621,452
Sold	5000	at 181	closed at	183½	$12,500	
Bought	5000	" 183½	"	" 191-3/4		41,250
"	3000	" 188½	"	" 191-3/4		9,750
"	2000	" 193½	"	" 191-3/4	3,500	
Sold	5000	" 191-3/4	"	" 167		123,750
"	3000	" 186-3/4	"	" 167		59,250
"	2000	" 181-3/4	"	" 167		29,500
"	1000	" 176-3/4	"	" 167		9,750
"	500	" 171-3/4	"	" 167		2,375
Bought	5000	" 167	"	" 174		35,000
"	3000	" 172	"	" 174		6,000
Sold	5000	" 174	"	" 166½		37,500
"	3000	" 169	"	" 166½		7,500
Bought	5000	" 166½	"	" 174		37,500
"	3000	" 171½	"	" 174		7,500
Sold	5000	" 174	"	" 166½		37,500
"	3000	" 169	"	" 166½		7,500
Bought	5000	" 166½	"	" 174		37,500
"	3000	" 171½	"	" 174		7,500
Sold	5000	" 174	"	" 166½		37,500
"	3000	" 169	"	" 166½		7,500
Bought	5000	" 166½	"	" 165	7,500	
					$23,500	$6,163,077
			Commissions		19,875	43,375
			Net Credit			$6,119,702.

Error March 10, 1927 to June 7, 1930
509,600 shares at $25 per 100 should be $50 per 100 round turn..... $127,403
Tax at $4.00 per 100 shares not figured on 869,700 shares..... 34,788 162,191.

TOTAL NET PROFITS.....$5,957,511.

June 7th, 1930

with 5000 shares short at 165.

June 11 low 160½; June 13 high 166. We make stop on shorts at 167. June 16 we sell 3000 at 161. June 18 low 155. We make stop on all trades at 158. Stop caught. We buy 5000 at 158. June 20 high 162¼. We make stop 159¾. Stop caught. We go short 5000 at 159½. June 25 low 151-5/8. We reduce stop to 154-5/8. Stop caught. We buy 5000 at 154-5/8. We could have bought at 152 with stop at 149 because 150 is 1/2 point from 1914 to 1929.

June 27 low 153½. We make stop 153. June 30 Steel crossed 157½, the tops of June 24 and 26 and for the first time since June 28 makes a higher top on the Overnight Chart. For this reason we buy 3000 more at 157½ and make stop on all trades at 154.

On June 30, 1930 the account stands:

					Profit
Sold	5000 at	165	closed at	158	$35,000
"	3000 "	161	" "	158	9,000
Bought	5000 "	158	" "	159¾	6,250
Sold	5000 "	159½	" "	154-5/8	23,125
					$73,375
	Less Commissions & Taxes				9,720
	Net Profit				$63,655
	June 7 Capital				5,957,511
					$6,021,166

with 5000 bought at 154-5/8 and stop on all trades at 154 and 3000 bought at 157½.

July 1st high 161-3/8. We raise stop to 158-3/8 because last high on June 20 was 167½ and failing to cross this level indicated lower. The stop was caught and we went short 5000 at 158-3/8.

July 8th low 153½. Note low June 27th was 153½, from which the Overnight turned up for the first time since May 28, when the stock sold at 175. We cover shorts and buy 5000 at 153½ with stop at 152½ because this was a double bottom same as June 27th.

July 9 high 158¼; July 10th low 155⅞. We raise stop to 154⅞.

On July 10, when Steel rallies to 158½, we buy 3000 more at 158⅛ and make stop on all trades 155½.

July 14 high 163¾. We raise stops to 160¾ on 3 points from the high. We can either follow up with stop 1 point under each day's lowest or wait until the Overnight Chart makes a turn, then place stop 1 point under the Overnight bottom.

July 19 high 168⅜. We sell out longs and go short 5000 at 168, because 169 is 3/8 point from 198⅜ to 151-5/8. We make stop 170. July 21 low 162-5/8. In view of the fact that the Overnight Chart still shows up, we note last low at 164¼ on July 16. We calculate the 1/2 point from July 10th bottom, 155⅝, to high at 168⅜ and get 162¼ as the 1/2 point, so we cover shorts and buy 5000 at 163 with stop at 161.

July 23 high 168½. We sell out longs at 168 and go short July 25 low 164¼. We cover shorts and buy with stop at 162 or one point under the low of July 21. July 28 high 170. We sell out longs and go short. July 31 low 163. We cover shorts and buy at 163½ with stop at 162, because 163 is Resistance Level.

August 5 high 170¼, a double top against July 28. We sell out longs at 170 and go short with stop at 171. Sell more at 165; then sell more at 160 because it has broken bottoms of July 21 and July 31.

The last Resistance Level on July 10 was 155⅜. The stock declined to 155½ on August 13. We cover shorts and buy at 156 with stop at 154⅝. Then buy more at 161 where the Overnight Chart turned trend up. Steel advanced to 166⅝ on August 16. August 18 reacted to 162⅜ and resumed advance. We raise stop to 161¾. August 20 high 168⅝. August 21 low 165⅝. Make stop 164⅝. August 27 and September 2nd high 172½. September 4 low 167¼, still above main 1/2 point, 166¼ We make stop 165. September 8 high 173½. Note three tops, May 6, 14, and 28 at 175. The 1/2 point is 174-3/8. September 8 we sell out longs and go short at 173 with stop at 176. If it had crossed the 3 tops made in May, we would buy for long account.

September 16 declines and breaks low of September 4 and we sell more at 167; then sell more at 164, because it has again broken the main 1/2 point, 166¼. September 27 sell more at 159. September 30 breaks 155, under bottoms of July 10 and August 13; then rallies and makes two tops on October 1 and October 3 at 160½. We make stop 161½. Then sell more at 155; then at 149 sell more, because it has broken the low of November 13, 1929, the big 1/2 point.

October 10 and 14 low 144½. We cover all shorts and buy with stop at 142. October 11 and 15 highs 151½ and 152½. We sell out and go short on 2nd top. October 18 we cover shorts and buy at 145 with stop at 143. Then buy more at 150. October 28 high 154, over last 2 tops. We make stop 151. Stop was caught and we go short. Later sell more at 146. Then when it breaks 4 bottoms, sell more at 143.

November 8, 10 and 12 made bottom. We cover shorts on stop at 143 and buy. Then buy more at 147. The next point to watch is 150, the 1/2 point, where 4 tops were made November 15, 20, 21 and 25. Would sell out there and go short with stop at 151. Sell more at 145; then sell more at 140. Cover all shorts and buy for long account at 135, because this is the 1/2 point between 8-3/8 and 261¾, being half of the life fluctuation and the strongest point since 150.

It made double top December 18 and 20. We sell out longs and go short at 140. On December 29th it declines to 135¾. We cover shorts and buy because 135 is the 1/2 point. We buy a second lot at 141 and when it reacts on January 2nd we raise stop to 137. On January 7 and 9 it makes double top and we raise stop to 142, where again sell out and go short. On January 16 and 19 it makes double bottom at 138½. This is also the 1/2 point between 134-3/8 and 145, therefore we cover shorts and buy at 139 and protect with stop at 137. On January 24 and 27 double tops and lower than January 9. We sell out longs at 143 and go short again. On February 5th we cover shorts and buy at 138 because it is the same bottom as was made on January 2 and 19th. We buy more at 143. On February 16 we sell out longs at 148 and go short because it is a double top and under the 1/2 point and also just under the tops made on November 15 to 25.

On February 17 it makes a double bottom just above the 1/2 point of the last move. We cover shorts and buy at 145. On February 26 the stock advances to 152¼, failing to get 3 points above the 1/2 point. We raise stop to 149. Stop is caught and we sell out longs and go short.

On March 4th the stock declines to 143½, the 1/2 point between 134-3/8 and 152¼. We cover shorts at 144 and go long with stop 142. If the stocks crosses 152 and especially if it makes 153 it will be in a very strong position, and indicate much higher.